*State of the Economy**

Renewed geopolitical frictions in West Asia and supply chain disruptions have amplified inflationary pressures, prompting major central banks to raise policy rates. Elevated sovereign bond yields in advanced economies (AEs) have also brought into focus concerns about fiscal sustainability and its implications for financial stability. The Indian economy continued to demonstrate strength as evidenced by high-frequency indicators across both industry and services. The headline Consumer Price Index (CPI) inflation edged up in September driven by a broad-based increase in food, fuel, and core components. Double-digit growth in merchandise exports during the first six months of 2026-27 helped in narrowing the trade deficit. FDI, ECB and remittance flows strengthened in August. Strong inflows under the FCNR(B) swap window augmented reserves.

Introduction

The West Asia conflict entered its eighth month, keeping energy prices elevated and supply chains constrained, amidst the ongoing uncertainties in trade policies and volatility in financial markets. These developments, combined with strengthening *El Niño* conditions globally have raised inflationary risks. Sharp rise in sovereign bond yields along with rising inflation expectations have led many central banks to tighten policy rates. Despite these pressures, the global economy demonstrated strength backed by rising AI-driven investments, shifting supply chains, inventory drawdowns and rerouting of international trade. The global financial system also withstood these shocks well. Taking these factors into account, the International Monetary Fund (IMF) revised its 2026 global growth projection upward by 10 basis points to 3.1 per cent.[1] However, the resilience of economies has been uneven based on their exposure to geopolitical shocks and AI-related investments. As per high-frequency indicators, global business activity reached a 40-month high in September.[2]

Global financial market volatility remained largely contained through September for most of the major economies as the policy rate decisions by the key central banks were broadly priced in. By mid October, however, volatility increased amidst renewed conflict in West Asia, concerns over technology stock valuations, and heightened fiscal risk in the Euro area. Commodity markets exhibited divergent movements with crude oil and food prices firming up, whereas gold prices witnessed a correction. Equity markets exhibited mixed performance across major indices in September, before declining in October. The sovereign bond yields edged up globally driven by tighter financial conditions coupled with fiscal sustainability concerns in some major economies. The US Dollar Index strengthened in September and early October on rising treasury yields. The consequent hardening of external financing conditions drove portfolio outflows from EMEs, turning net flows negative.

The Indian economy has withstood the shocks well. The IMF raised India's growth projection for 2026-27 by 60 basis points (bps) to 7.0 per cent, from its July estimate, citing stronger-than-expected momentum, driven by resilient domestic demand and robust services activity. The high-frequency indicators maintained their upward trajectory. On the supply side, manufacturing grew at a robust pace,

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[1] World Economic Outlook, October 2026.

[2] As indicated by Global Composite Purchasing Managers' Indices.

while services activity strengthened further on the back of buoyant domestic and external demand. The *kharif* sowing concluded with total acreage above its normal level amidst deficient and uneven southwest monsoon.

The headline Consumer Price Index (CPI) inflation increased to 5.5 per cent (y-o-y) in September, driven by broad-based increase in food, fuel, and core components. Core (excluding food and fuel) inflation inched up to 4.3 per cent. Core inflation excluding precious metals also increased to 3.2 per cent.

In the backdrop of elevated inflation expectations and early signs of inflation generalisation, the Monetary Policy Committee raised the policy repo rate by 25 basis points to 5.50 per cent and changed its stance from neutral to calibrated tightening.

On the fiscal front, the Union Government's key deficit indicators – as a percentage of full-year budget estimates – increased in April-August, while that of the state governments declined. The Union Government continued to prioritise infrastructure spending to support investment.

Reserve money expanded in September, with currency in circulation recording its highest y-o-y growth in five years. Bank credit growth remained strong. During September and early October, system liquidity remained in surplus, supported by strong inflows under the foreign currency non-resident (bank) [FCNR(B)] deposits swap facility, although the surplus moderated later as the Reserve Bank conducted open market sales. The weighted average call rate (WACR) traded in the lower half of the policy corridor, with some hardening witnessed in the later half of October. Other short-term money market rates, *viz.*, 3-month Treasury Bills, commercial papers (CPs) and certificates of deposit (CDs), hardened following the repo rate hike. The 10-year G-sec yield reached a three-year high, reflecting crude oil prices, US Treasury yields and monetary policy stance. Indian equity markets remained bearish in September and early October amidst escalating geopolitical tensions, elevated crude oil prices and rising global bond yields.

India's external sector remained resilient. India's merchandise exports grew in double digits for the sixth consecutive month, while gold imports contracted sharply. Export growth was broad-based outpacing imports and trade deficit narrowed in September *vis-a-vis* the previous year. Services exports continued to record healthy growth in August, while capital flows improved, supported by sustained foreign direct investment (FDI) inflows and a surge in non-resident deposits following the FCNR(B) swap measures. Foreign portfolio investment (FPI) flows, however, remained volatile. External commercial borrowing (ECB) activity strengthened during April-August 2026, with both registrations and net inflows marking an improvement over the previous year. External sector vulnerability indicators remained contained, supported by adequate foreign exchange reserves. After a depreciating bias till early October, the Indian rupee gained following the Reserve Bank's measures to curb speculative activity in the forex market.

The remainder of the article is presented in four sections. Section II covers the evolving developments in the global economy. Section III provides an assessment of domestic macroeconomic conditions. Section IV presents the financial conditions prevailing in India, while Section V offers concluding observations.

II. Global Setting

Despite confronting a series of shocks during the year, the global economy held up well. IMF in its World Economic Outlook for October 2026 raised its global growth projection for 2026 by 10 basis points as compared to its July 2026 update. Growth is projected to pick up in 2027, assuming reopening of the Strait

of Hormuz in March and a broad return to pre-war conditions by October 2027 (Table II.1).

Driven by higher energy and food prices, global headline inflation is projected to rise from 4.1 per cent in 2025 to 4.7 per cent in 2026, before easing back to 4.1 per cent in 2027. However, the outlook remains clouded by the risk of prolonged tensions, disruptions to global supply chains, and worsening fiscal and external balances.

Notwithstanding better than expected performance of global economy in the first half of 2026, the global uncertainty increased in September amidst renewed geopolitical tensions contributing to energy-price pressures, and heightened trade-policy related risks (Chart II.1a). Financial market volatility remained largely contained in most of the major economies in September. It rebounded in mid October on concerns over renewed conflict and tech stocks valuation. Markets in the Euro area witnessed a rise in volatility in early October amidst concerns over the public debt, particularly that of France. Volatility in emerging market economies (EMEs) edged up in September. After moderating in early October, it subsequently picked up amidst a correction in technology stocks (Chart II.1b).

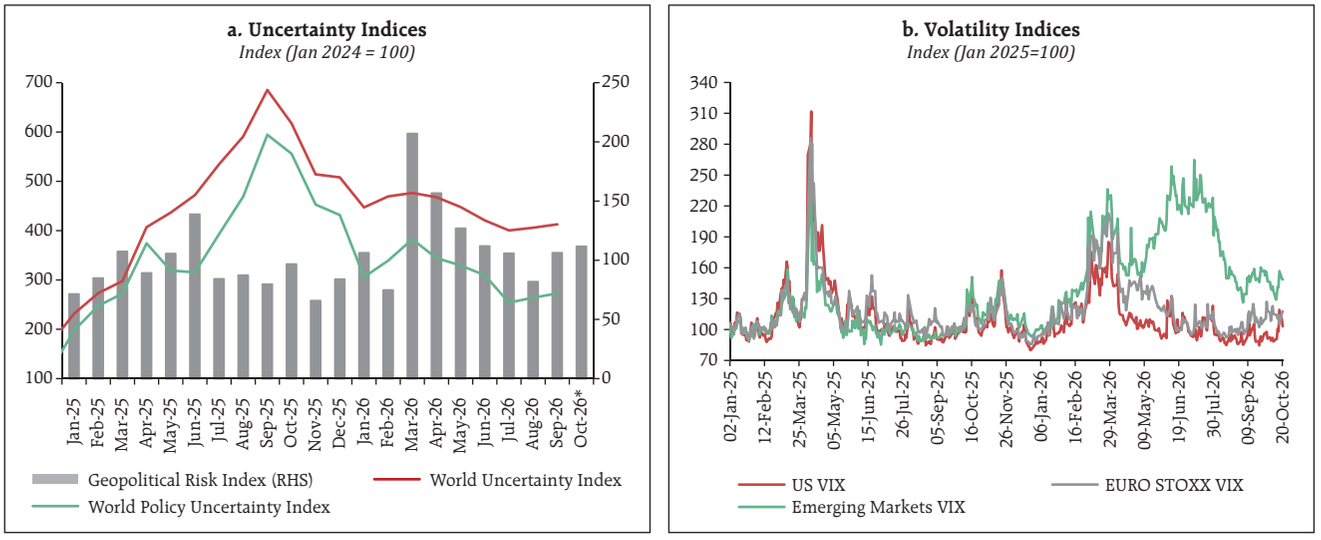
Table II.1: IMF: GDP Growth Projections of Select AEs and EMDEs

(Y-o-y, per cent)

Projection for	2026		2027	
Month of Projection	**July 2026**	**October 2026**	**July 2026**	**October 2026**
World	**3.0**	**3.1**	**3.4**	**3.4**
Advanced Economies (AEs)	**1.7**	**2.1**	**1.8**	**1.8**
US	2.3	2.3	2.2	2.3
UK	1.0	1.3	1.3	1.2
Euro Area	0.9	1.1	1.2	1.2
Japan	0.6	0.7	0.7	0.7
Emerging Market and Developing Economies (EMDEs)	**3.8**	**3.7**	**4.5**	**4.4**
Russia	1.1	0.9	1.1	0.9
Emerging and Developing Asia	**5.0**	**5.1**	**4.8**	**4.9**
India*	6.4	7.0	6.7	7.0
China	4.6	4.5	4.1	4.0
Latin America and the Caribbean	**2.4**	**2.3**	**2.7**	**2.5**
Mexico	1.2	1.5	1.9	1.8
Brazil	2.4	2.2	2.2	1.9
Middle East and Central Asia	**0.7**	**-0.3**	**6.5**	**6.3**
Sub-Saharan Africa	**4.3**	**4.5**	**4.5**	**4.5**
South Africa	1.1	1.0	1.3	1.3

***:** Data for India is on a fiscal year basis (April-March), while for all other countries is for calendar years.
Source: IMF World Economic Outlook, October 2026.

Chart II.1: Global Uncertainty and Volatility Indices



*: Data up to October 19.
Sources: Bloomberg; www.PolicyUncertainty.com; World Uncertainty Index (WUI) database.

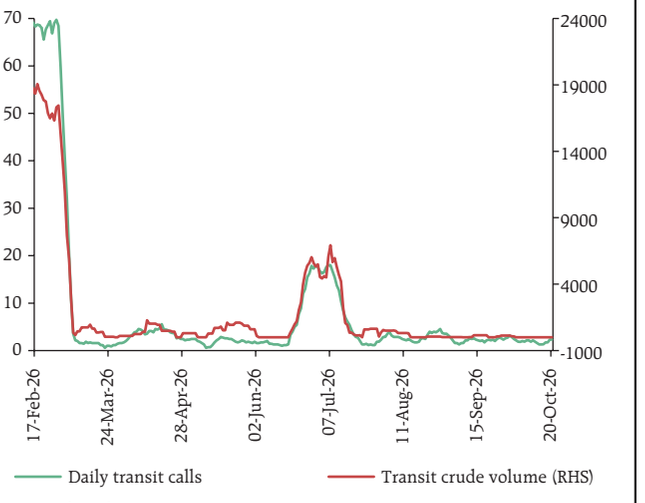
With the intensification of West Asia tensions, daily transit calls and transit crude volumes through the Strait of Hormuz continued to remain muted (Chart II.2).

The expansion in global economic activity, as reflected in the composite Purchasing Managers' Index (PMI), gathered momentum in September reaching 40-month high. Led by financial services, the services PMI marked sixth consecutive months of acceleration outperforming its manufacturing counterpart for the third consecutive month. New export orders expanded for the second successive month and at the fastest pace in over five years, supported by improved international trade flows (Table II.2).

The business activity generally expanded at a faster pace in September, particularly in AEs as compared to EMEs.[3] All major AEs, including the US, the UK, the Eurozone, and Japan, recorded expansion. Amongst major EMEs, India and China significantly outperformed others, while Brazil continued to record contraction (Chart II.3a). While new export orders continued to expand in Japan and the Eurozone, it remained unchanged in the US, whereas the UK recorded contraction. Among major EMEs, India and China continued to record expansion in export orders (Chart II.3b).

Chart II.2: Strait of Hormuz Daily Transit Calls and Transit Crude Volume

(Vessels per day, left scale; thousand barrels per day, right scale)



Source: Bloomberg

Global commodity prices firmed up in September with the World Bank Commodity Price Index rising sharply, primarily driven by an increase in Brent crude oil prices. The Food and Agriculture

Table II.2: Global Purchasing Managers' Index

	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26	Sep-26
PMI Composite	52.9	52.5	53	52.7	52	52.5	53.3	51	51.8	51.9	52	52.7	53.5	54.3
PMI Manufacturing	50.9	50.7	50.9	50.5	50.4	50.9	51.8	51.3	52.6	52.7	52.2	52.1	52.3	53
PMI Services	53.3	52.9	53.5	53.2	52.4	52.8	53.4	50.8	51.2	51.3	51.7	52.7	53.6	54.5
PMI Export Orders	48.9	49.7	48.5	49.9	49.3	49.7	51.2	49.6	49.6	48.9	49.2	49.5	51.1	51.6
PMI Export Orders: Manufacturing	48.7	49.5	48.3	49.9	49.1	49.9	51.4	50.0	50.2	49.6	49.4	50.0	51.4	51.9
PMI Export Orders: Services	49.3	50.2	49.4	50.2	49.6	48.9	50.5	48.3	47.6	46.6	48.3	48.1	50.3	50.6

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<<<<<<Contraction----------Expansion>>>>>>

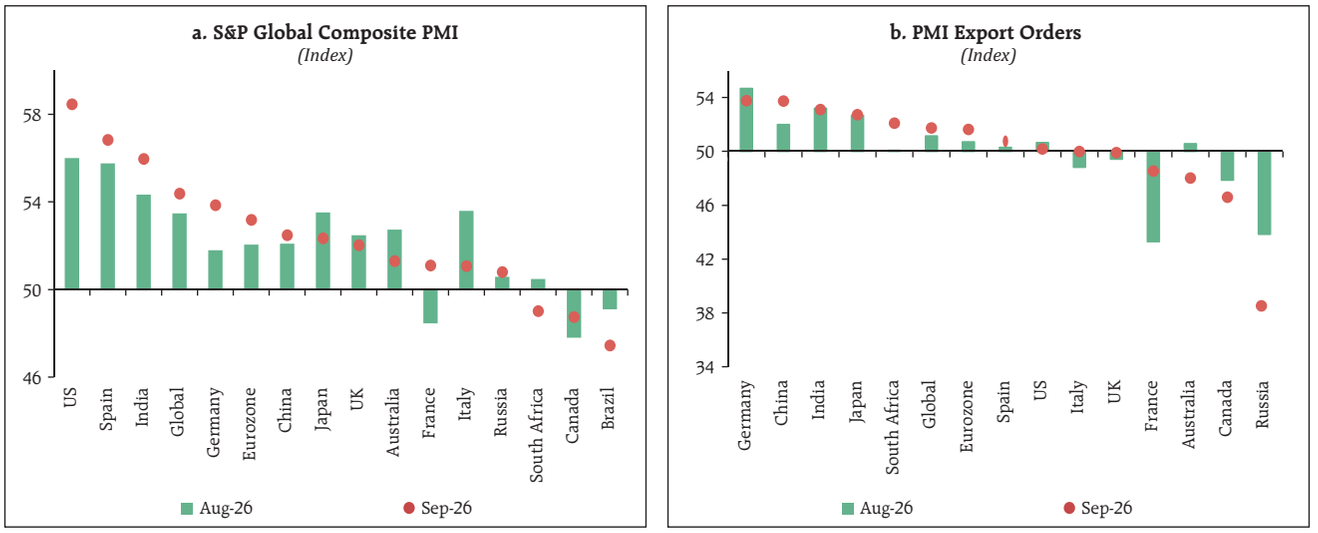
Notes: 1. The Purchasing Managers' Index (PMI), a diffusion index, captures the change in each variable compared to the prior month, noting whether each has risen/improved, fallen/deteriorated or remained unchanged. A PMI value >50 denote expansion; <50 denote contraction; and =50 denote 'no change'.

2. Heat map is applied on data from April 2023 onwards. The map is colour coded–red denotes the lowest value, yellow denotes 50 (or the no change value), and green denotes the highest value in each of the PMI series.

Source: S&P Global.

[3] "Emerging markets growth lags developed economies in September", S&P Global Market Intelligence, October 12, 2026 (Available at: https://www.spglobal.com/market-intelligence/en/news-insights/research/2026/10/emerging-markets-growth-lags-developed-economies-in-september).

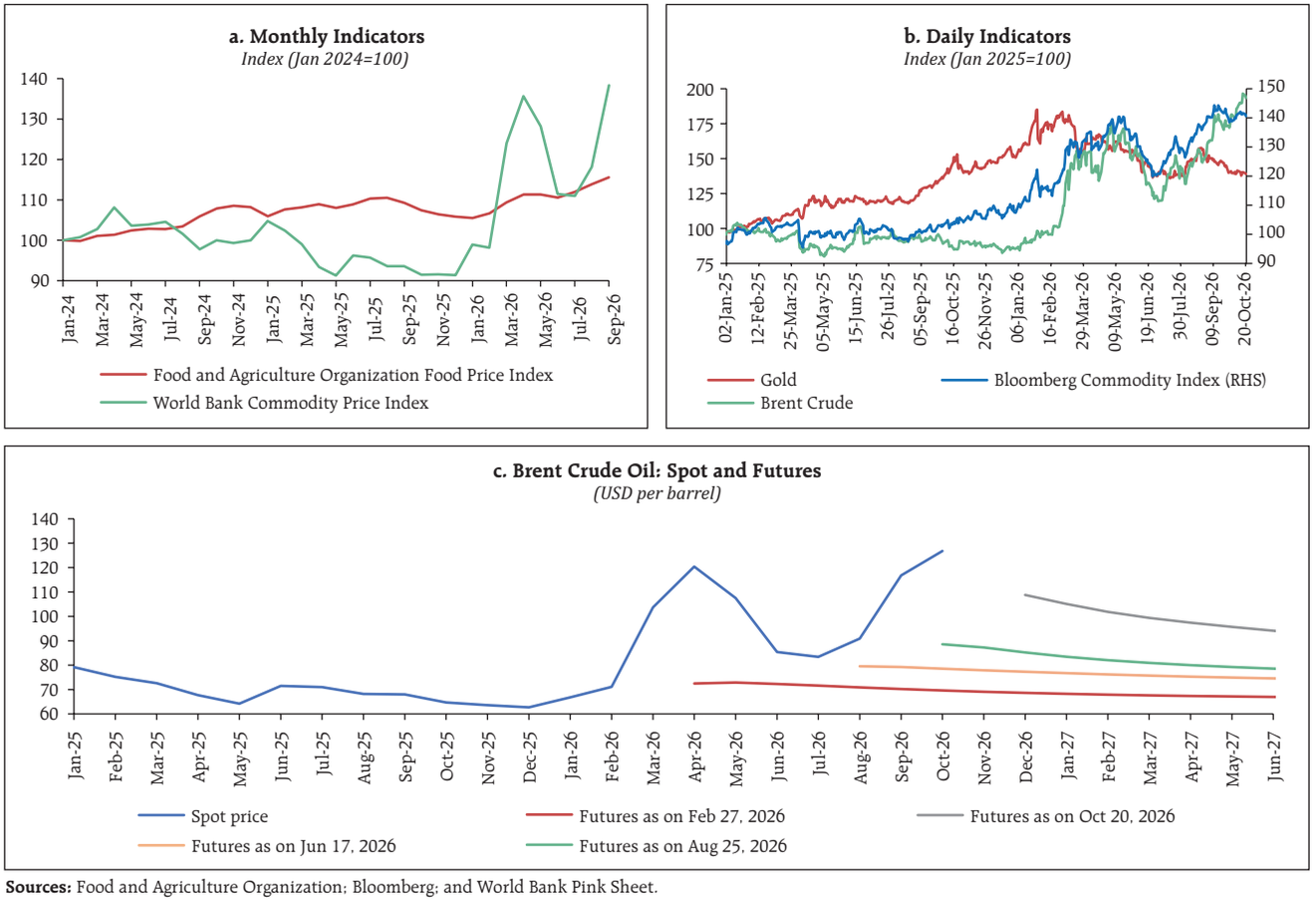
Chart II.3: Purchasing Managers' Index: Comparison across Select Jurisdictions



Note: A level of 50 indicates no change in activity, while a reading above 50 signals expansion and below 50 suggests contraction.
Source: S&P Global.

Organization (FAO) Food Price Index edged up in September on higher sugar, cereal, and vegetable oil prices, although declining meat prices and stable dairy prices partly offset the rise (Chart II.4a).

Chart II.4: Global Commodity Prices



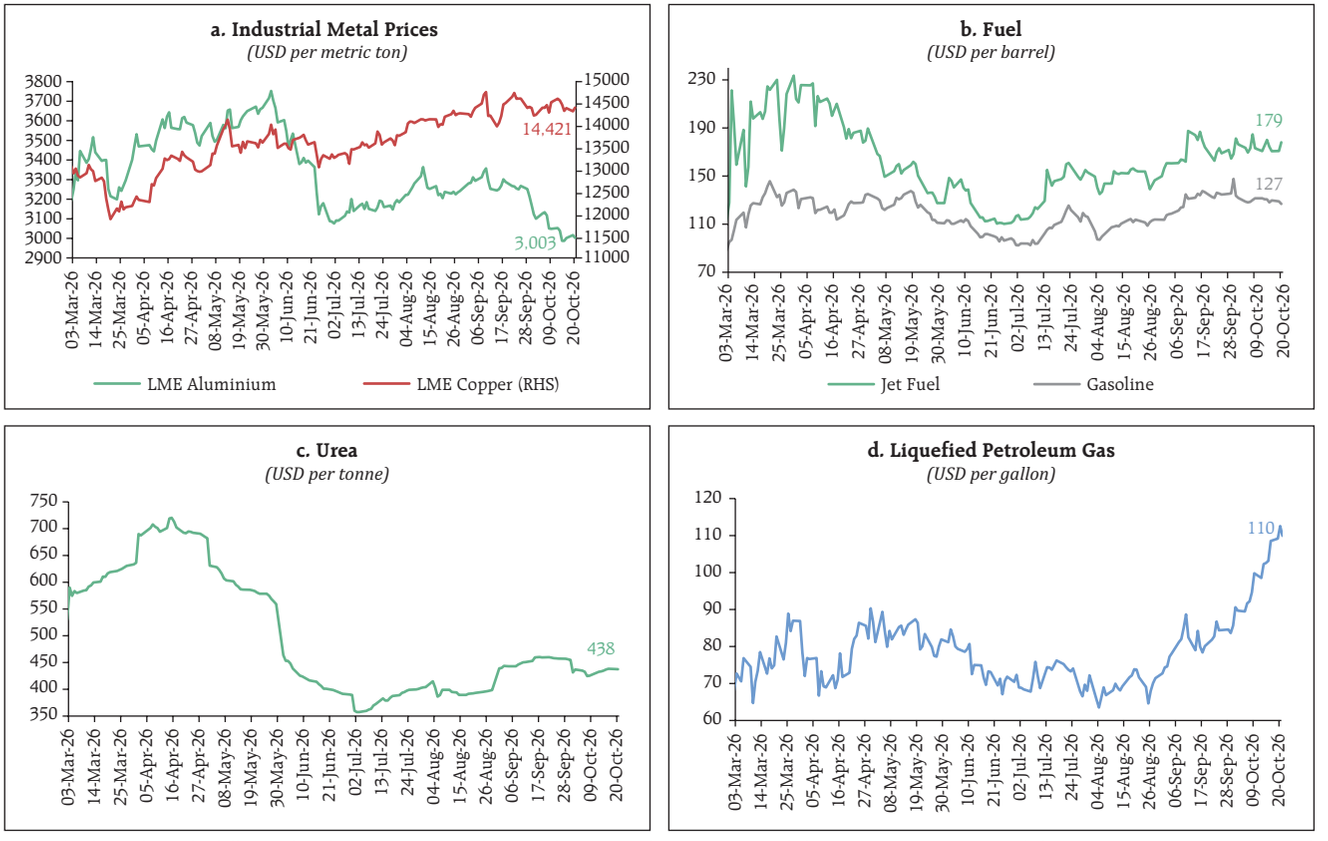
Sources: Food and Agriculture Organization; Bloomberg; and World Bank Pink Sheet.

The commodity prices, as indicated by the daily Bloomberg Commodity Index, also edged up in October driven by rise in crude oil prices. Gold prices fell in September weighed by higher US Treasury yields and a stronger US dollar. However, it remained range bound in October as these downward pressures were offset by the uncertainty over the Fed's policy path and US debt concerns (Chart II.4b). Brent price continued to remain volatile with crude futures reflecting rapidly evolving geopolitical developments (Chart II.4c).

Aluminium prices eased to pre-conflict levels in October owing to alternate supplies, even as the supply pressures persisted in the Gulf region. Copper prices remained firm, though below their September peak, amidst low inventories, mine disruption risks and expectations of renewed demand (Chart II.5a). Jet fuel prices remained elevated while gasoline prices eased from their late-September highs (Chart II.5b). Urea prices faced downward pressure in September on increased availability from China, however, they marked a slight uptick during October (till 20th) [Chart II.5c]. LPG prices rose sharply amidst stronger global demand (Chart II.5d).

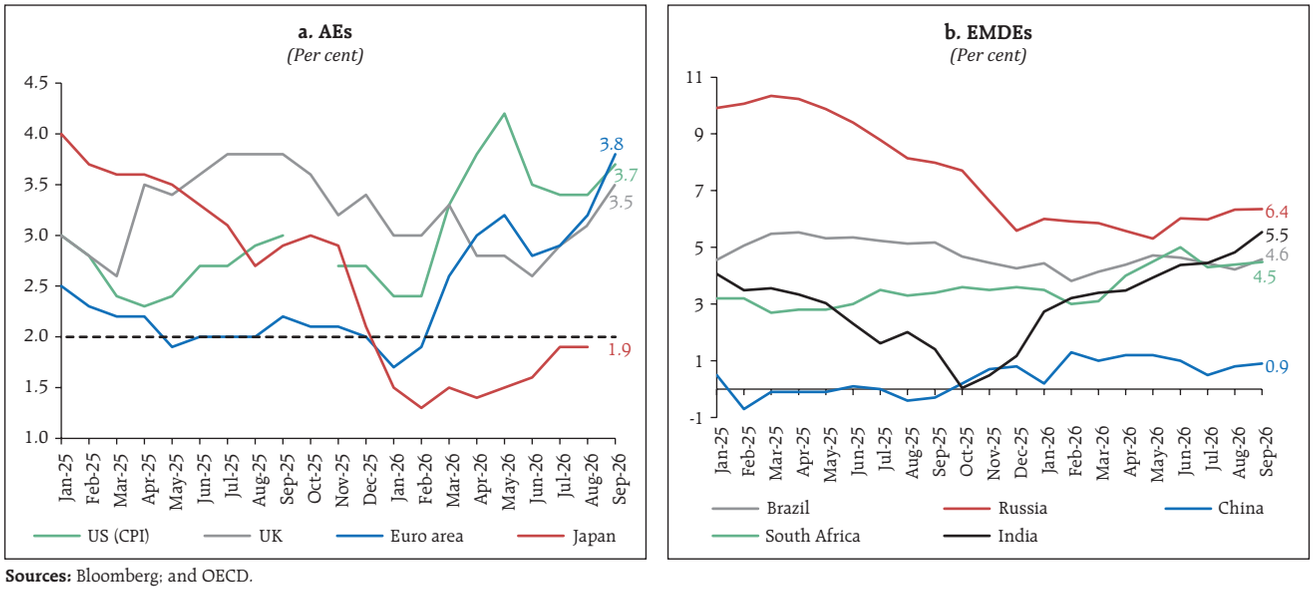
Inflation across most major AEs and EMEs continued to edge upward in September. In the US, the UK and Euro Area, inflation accelerated, driven by higher energy prices (Chart II.6a). Among major EMEs, inflation rose in Brazil driven by cost pressures in food and transportation while it edged up marginally

Chart II.5: Commodity Prices Stayed Elevated



Note: The data refer to the following benchmark contracts and price indices: LME Aluminium 3-month futures; LME Copper 3-month futures; Singapore Jet Kerosene and Singapore Gasoline spot prices; Urea US Gulf futures; and Mont Belvieu Propane Fixed Price futures (LPG).
Source: Bloomberg.

Chart II.6: Headline Inflation across Major AEs and EMEs



Sources: Bloomberg; and OECD.

in Russia. Inflation in China inched up as higher energy prices offset deepening food deflation. South Africa's inflation rate also increased marginally, mainly driven by increase in transportation costs (Chart II.6b).

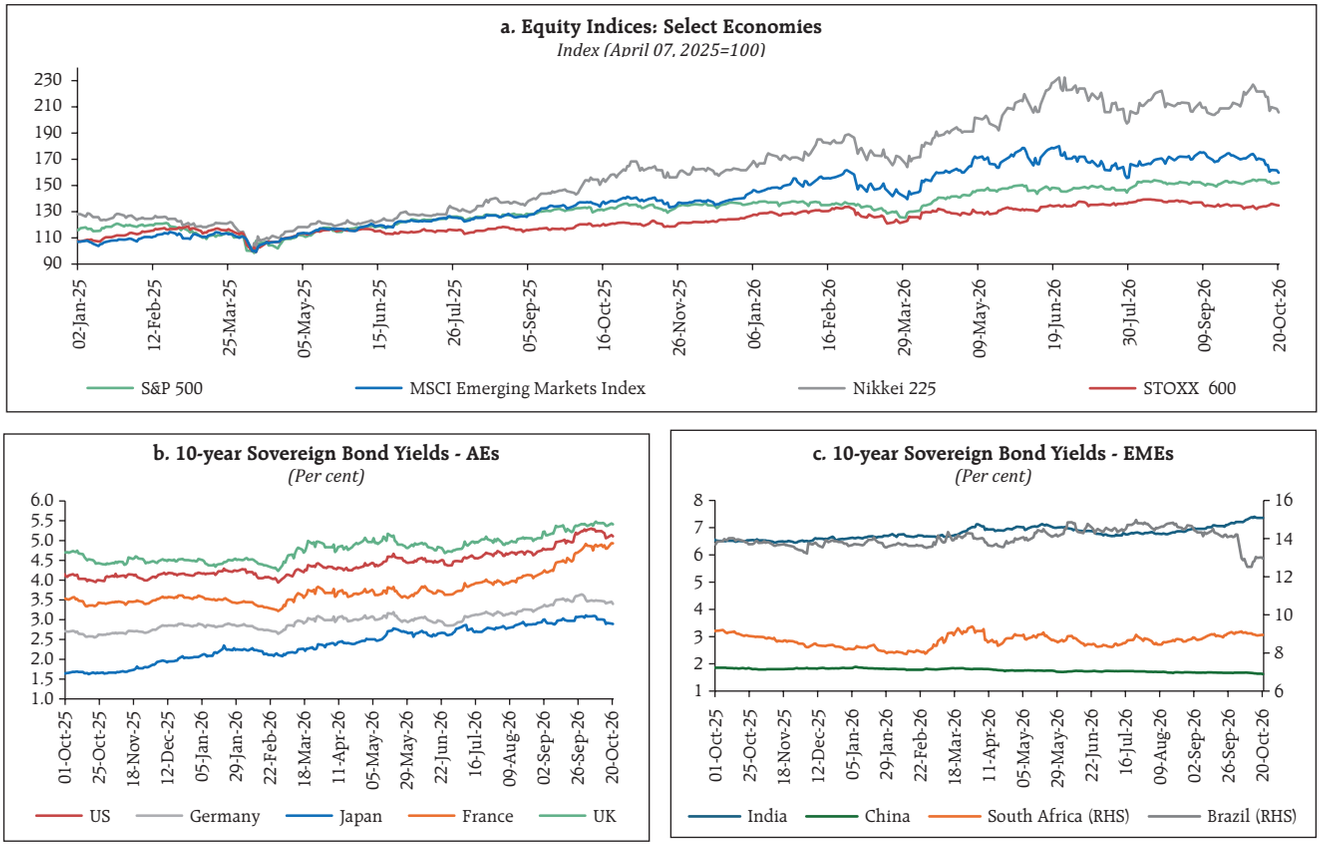
Global equity indices recorded mixed performance across economies in September, reflecting divergent investor sentiment. Subsequently, equity markets across most of the major economies declined towards the middle of October, driven by a global sell-off in technology stocks and inflationary concerns. In the US, equities were supported by AI-driven technology stocks and optimism over corporate earnings during September. Japan benefited from a weaker yen supporting exporters alongside gains in AI-related stocks. European equities continued to remain under pressure–on rising sovereign bond yields, energy-driven inflation concerns and monetary tightening, weighed further by concerns over France's fiscal outlook–before rebounding in early October on the back of stronger than expected corporate results. Emerging markets were under pressure amidst FPI outflows, stronger US dollar, elevated crude oil prices and tighter global financial conditions, with the magnitude of losses varying across countries (Chart II.7a).

Treasury yields in major AEs rose in September and remained elevated in early October, reflecting expectations of further monetary tightening amidst resilient economic growth, rising debt, persistent inflation, and elevated oil prices (Chart II.7b). In EMEs, sovereign bonds showed a mixed trend reflecting country-specific inflation, fiscal, and monetary policy dynamics in addition to global financial conditions (Chart II.7c).

The US Dollar Index strengthened in September and first half of October, supported by elevated treasury yields and tightening of US monetary policy (Chart II.8a). Against this backdrop, portfolio flows to EMEs turned negative, with outflows recorded in both equity and debt segments (Chart II.8b).

The re-escalation of geopolitical tensions in West Asia continued to weigh on the growth-inflation trade-off faced by central banks across AEs and EMEs

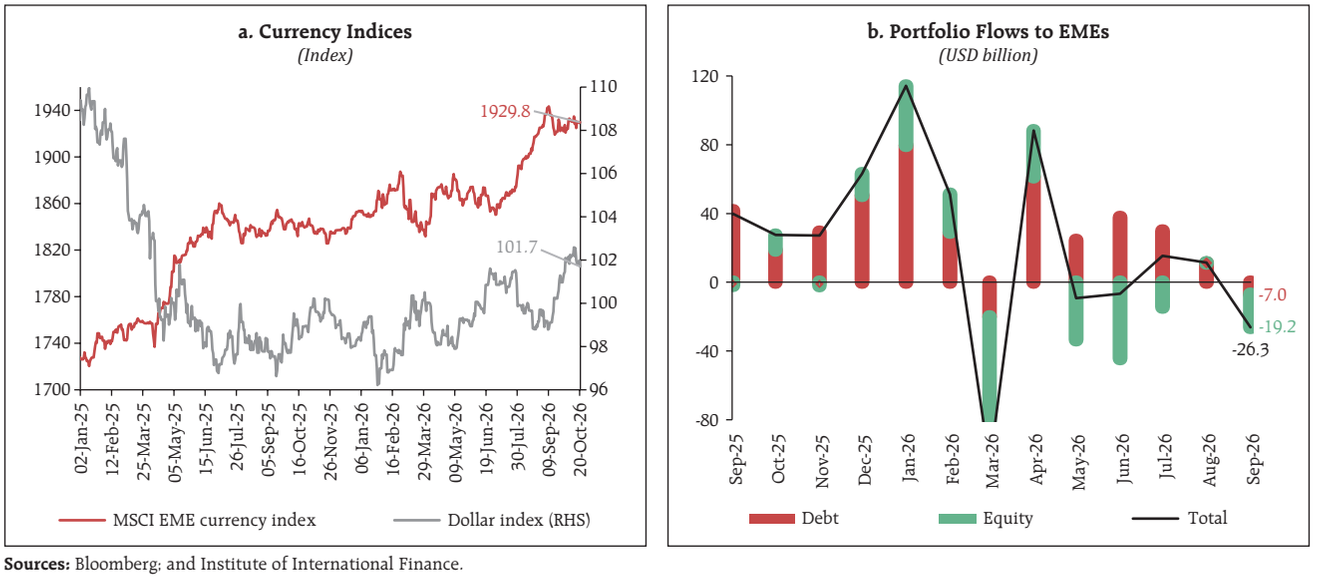
Chart II.7: Global Financial Markets



Note: Equity markets are represented by S&P 500 for US, MSCI EMEs for Emerging Markets, Nikkei 225 for Japan and STOXX 600 for Europe.
Source: Bloomberg.

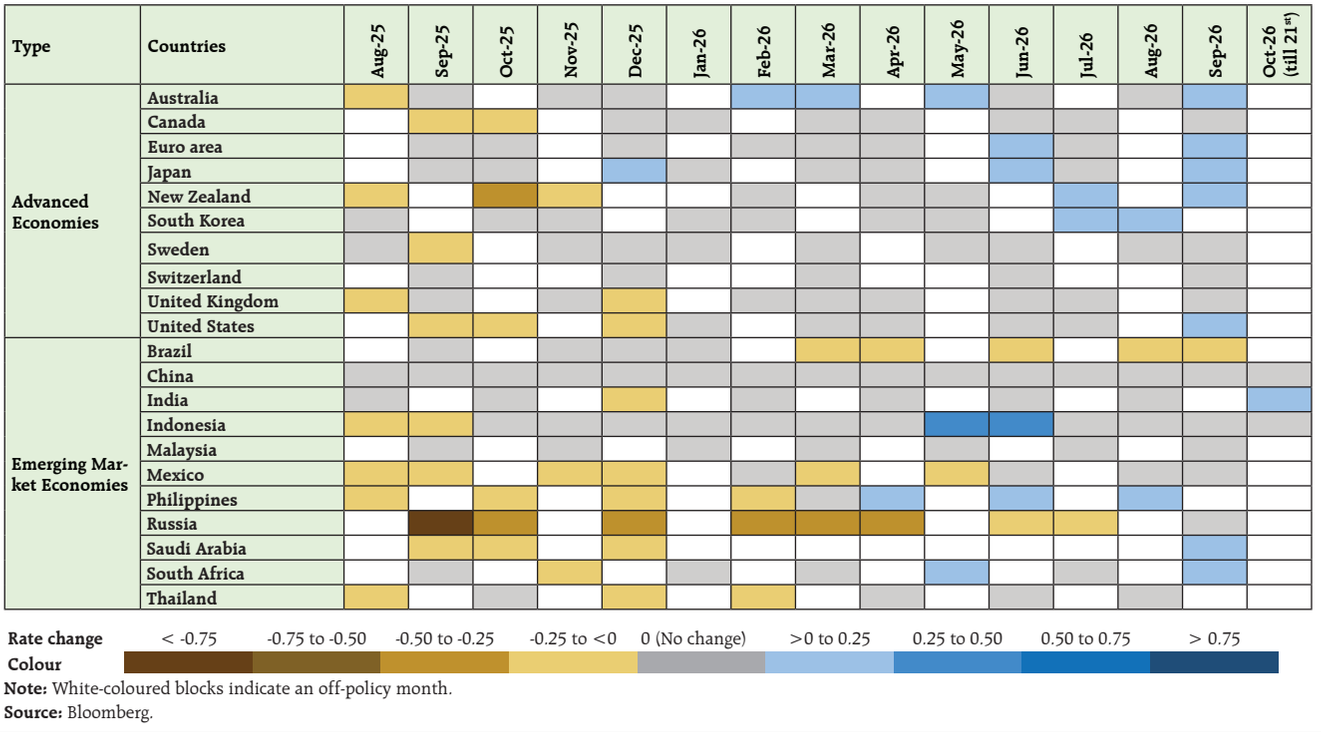
(Chart II.9). Amidst persistent inflationary risks, the US, Japan, Euro area and Australia raised their policy rates in September. Similarly, New Zealand raised its benchmark interest rate, citing higher fuel prices,

Chart II.8: Currency Market and Capital Flows



Sources: Bloomberg; and Institute of International Finance.

Chart II.9: Key Central Banks Raised Policy Rates in September



Note: White-coloured blocks indicate an off-policy month.
Source: Bloomberg.

while Canada, the UK, Sweden and Switzerland kept the rate unchanged. Amongst major EMEs, South Africa raised its policy rate on inflation concerns while Malaysia kept its policy rate unchanged, citing a continued momentum in economic growth. Russia amd Mexico held their policy rates steady. In October, China held the benchmark lending rates steady amidst a stronger Q3:2026 GDP growth. Indonesia kept the policy rate unchanged for the fourth consecutive month amidst equity market volatility and currency pressures.

III. Domestic Developments

The Indian economy continues to grow at a high rate despite a challenging global environment characterised by geopolitical conflicts, high and volatile crude oil prices, trade policy related uncertainties and tighter global financial conditions. The IMF in its *World Economic Outlook* for October 2026, revised India's projected growth for 2026-27 upward to 7.0 per cent citing stronger-than-expected momentum, driven by resilient domestic demand and robust services activity.

The monetary policy committee (MPC), raised real GDP growth projection for 2026-27 by 40 bps to 7.1 per cent, as Q1 growth came in higher than expected and momentum held up. CPI inflation projection was revised to 5.2 per cent, reflecting supply-side pressures from a deficient monsoon, *El Niño* conditions and high energy prices. Due to elevated inflation outlook and early signs of inflation generalisation, the Committee in its October 2026 review, voted unanimously to raise the policy repo rate by 25 bps to 5.50 per cent. The MPC also changed its stance from neutral to calibrated tightening.

Aggregate Demand

Economic activity remained robust in September as indicated by several high-frequency indicators. The GST revenue recorded double-digit growth for the fourth consecutive month, driven by higher import revenue and decline in refunds.[4] The volume of

[4] GST collections from imports and domestic sources grew at 25.9 per cent and 10.1 per cent, respectively in September 2026. Total refunds registered a de-growth of 3.0 per cent during the month.

GST E-way bills also increased suggesting sustained domestic trade activity. Toll collection maintained steady growth highlighting robust transport and logistics activity.[5] The electricity demand continued to grow at double-digit amidst higher economic activity and prevailing above normal temperature.[6] The growth in petrol consumption sustained in September, backed by higher automobile sales. Aviation turbine fuel (ATF) registered a flat growth on the back of elevated prices and subdued air traffic. The consumption of petroleum products recovered aided by the recovery in consumption of petroleum coke and liquefied petroleum gas (LPG).[7] Digital payments registered high growth in transaction value, while the growth in transaction volume moderated (Table III.1).

Domestic demand remained strong in September. Retail automobile sales in both urban and rural areas picked-up sharply, partially due to base effect.[8] The recovery in tractor sales alongside sustained momentum in two-wheeler sales point to robust rural demand (Table III.2).

The all-India unemployment rate (based on current weekly status) remained steady at 5.0 per cent in September.[9] The overall labour force participation rate (LFPR) and worker population ratio (WPR) were

Table III.1: Healthy Overall Economic Activity

Indicator	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26	Sep-26
GST E-way bills (Volume)	21.0	8.2	27.6	23.5	15.8	18.8	12.9	11.8	10.9	14.5	6.0	7.7	7.2
GST revenue	10.0	7.6	0.7	6.1	6.2	8.1	8.8	8.7	3.2	13.9	15.4	14.8	14.7
Toll collection (Volume)	13.9	17.2	17.1	15.8	15.5	7.8	14.1	13.2	13.5	15.4	15.5	14.3	15.3
Electricity demand (Volume)	3.5	-5.8	-0.6	5.8	3.8	1.0	0.8	3.0	10.8	10.8	9.8	12.8	11.3
Total consumption of petroleum products (Volume)	7.0	-1.5	0.6	4.5	0.3	4.5	3.2	-6.5	-8.1	-4.3	2.6	-2.8	3.4
Of which Petrol	8.0	7.4	2.6	7.1	6.1	6.1	7.6	6.8	3.4	7.4	9.2	8.2	8.0
Diesel	6.5	-0.3	4.8	5.2	3.3	4.3	8.1	0.8	1.6	6.1	10.0	6.8	5.6
Aviation Turbine Fuel (ATF)	-0.8	2.1	5.4	0.2	5.5	4.0	0.6	-0.1	1.0	-0.1	-0.6	2.1	0.9
Digital Payments - Volume	28.1	21.5	30.2	26.8	25.4	23.5	21.0	22.3	21.3	21.6	19.4	19.7	16.7
Digital Payments - Value	13.4	8.8	14.7	15.2	11.3	17.9	12.6	14.4	10.8	20.2	17.9	23.1	17.3

<<Contraction ---------- Expansion>>

Notes: 1. The y-o-y growth (per cent) has been calculated for all indicators.
2. The heatmap is applied on data from April 2023 to the latest month for which data is available.
3. Gross GST revenue includes three components- IGST, CGST, and SGST.
4. For digital payments, heatmap is applied on data from April 2024 to the latest month for which data is available.
5. Digital payments data for September 2026 are provisional.
6. The heatmap translates the data range for each indicator into a colour gradient scheme with red denoting the lowest values and green corresponding to the highest values of the respective data series.

Sources: Goods and Services Tax Network; RBI; Central Electricity Authority; National Payments Corporation of India (NPCI); and Ministry of Petroleum and Natural Gas.

[5] The data on volume of toll collection is inclusive of the FASTag annual pass which was introduced in August 2025 for non-commercial vehicles on National Highways and Expressways and also includes exemptions given by Maharashtra on passenger electric vehicles from tolls on the Mumbai-Pune Expressway, Samruddhi Mahamarg and Atal Setu. The toll collection data in RBI Bulletin issues prior to September 2026 did not include data on FASTag annual pass and toll exemptions due to their unavailability on the NPCI portal. The series in the later issues of RBI Bulletin has been revised based on the supplementary data on FASTag annual pass and toll exemptions obtained from NPCI.

[6] Year 2026 recorded sixth highest mean temperature (0.61°C above normal) for September since 1901.

[7] In September 2026, LPG consumption contracted by 9.0 per cent y-o-y [(-) 17.1 per cent in August], while petroleum coke consumption grew 5.2 per cent y-o-y [(-) 32.0 per cent in August].

[8] Purchases of the automobiles were deferred in weeks before the anticipated rationalisation of GST rates which came into effect on September 22, 2025.

[9] PLFS Monthly Bulletin, September 2026.

Table III.2: High Frequency Indicators- Resilient Demand Conditions

	Indiactaor	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26	Sep-26
Urban demand	Domestic air passenger traffic	-2.5	3.5	7.0	-4.9	3.3	-0.1	-1.3	-2.9	7.7	-1.2	-4.7	-6.0	
	Retail passenger vehicle sales	14.3	10.7	20.4	26.6	7.2	26.1	21.5	18.1	23.2	28.6	19.1	16.1	32.1
Rural Demand	Total Retail Automobile Sales	10.8	40.5	2.1	14.6	17.6	25.6	25.3	17.4	9.5	21.8	25.9	17.5	31.8
	Retail tractor sales	8.1	14.2	56.5	15.8	22.9	36.4	10.9	28.7	11.2	25.3	28.1	0.8	13.7
	Retail two wheeler sales	11.3	51.8	-3.1	9.5	20.8	25.0	28.7	17.2	7.5	21.2	28.3	19.7	33.1

<<Contraction ---------- Expansion>>

Notes: 1. The y-o-y growth (in per cent) has been calculated for all indicators based on volume.
2. The heatmap is applied on data from April 2023 to the latest month for which data is available.
3. The heatmap translates the data range for each indicator into a colour gradient scheme with red denoting the lowest values and green corresponding to the highest values of the respective data series.
4. The data on domestic air passenger traffic for August 2026 growth rate is calculated by aggregating daily data.
5. Data for retail automobile sales consists of sales of two wheelers, three wheelers, passenger vehicles, tractors, and commercial vehicles.

Sources: Airports Authority of India; and Federation of Automobile Dealers Associations (FADA).

broadly stable[10] as improvements in urban areas were offset by weakness in rural areas. Naukri JobSpeak Index y-o-y growth moderated significantly in September, although remained in positive territory with higher growth in auto, information technology enabled services (ITES) and business process outsourcing (BPO) segments. The PMI employment for manufacturing went into an expansionary zone after contraction in the previous month. The PMI employment for services, despite some softening, remained in the expansionary zone. Demand for work under the Viksit Bharat–Guarantee for Rozgar and Ajeevika Mission (Gramin) [VB-G RAM G][11] increased sharply in September (Table III.3).

Table III.3: Robustness in High Frequency Indicators for Employment

Indicator	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26	Sep-26
Unemployment rate (PLFS: All-India)	5.2	5.2	4.7	4.8	5.0	4.9	5.1	5.2	5.5	5.5	5.1	5.0	5.0
Unemployment rate (PLFS: Rural)	4.6	4.4	3.9	3.9	4.2	4.2	4.3	4.6	5.1	5.0	4.5	4.1	4.2
Unemployment rate (PLFS:Urban)	6.8	7.0	6.5	6.7	7.0	6.6	6.8	6.6	6.4	6.6	6.7	6.8	6.9
Naukri JobSpeak Index	10.1	-9.3	23.5	13.2	3.4	11.9	9.2	5.8	1.0	6.1	5.0	13.7	1.7
PMI Employment: Manufacturing	52.1	52.4	50.9	50.5	51.1	51.5	52.6	54.6	53.0	50.8	50.3	49.8	52.6
PMI Employment: Services	51.9	51.4	51.6	49.8	50.8	51.6	52.7	53.4	53.2	50.3	52.4	55.8	52.6
VB-G RAM G/ MGNREGA: Work Demand	-27.1	-35.1	-32.0	-28.9	-25.7	-14.1	-23.2	-35.5	-27.8	-18.5	-39.2	5.1	33.6

<<Contraction ---------- Expansion>>

Notes: 1. All PLFS indicators are in the current weekly status and for people aged 15 years and above.
2. The y-o-y growth (in per cent) has been calculated for the *Naukri* index and VB-G RAM G/MGNREGS work demand.
3. The heatmap is applied to data from April 2023 to September 2026.
4. The heatmap for PLFS unemployment rate is applied to data from April 2025 to September 2026.
5. The heatmap translates the data range for each indicator into a colour gradient scheme with red denoting the lowest values and green corresponding to the highest values of the respective data series.
6. All PMI values are reported in index form. A PMI value >50 denotes expansion, <50 denotes contraction and =50 denotes 'no change'. In the PMI heatmaps, red denotes the lowest value, yellow denotes 50 (or the no change value), and green denotes the highest value in each of the PMI series.
7. PLFS unemployment rate and VB-G RAM G/MGNREGS are encoded in inverse scale- lowest is marked in green, highest is marked in red.

Sources: Ministry of Statistics and Programme Implementation, Ministry of Rural Development, Info Edge and S&P Global.

[10] Overall, the labour force participation rate (LFPR) and worker population ratio (WPR) marginally declined from 55.6 per cent and 52.8 per cent, respectively, in August 2026 to 55.5 per cent and 52.7 per cent in September 2026.

[11] Viksit Bharat Guarantee for Rozgar and Ajeevika Mission (Gramin) [VB-G RAM G] Act, 2025, which replaced the Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA), 2005, came into effect from July 01, 2026.

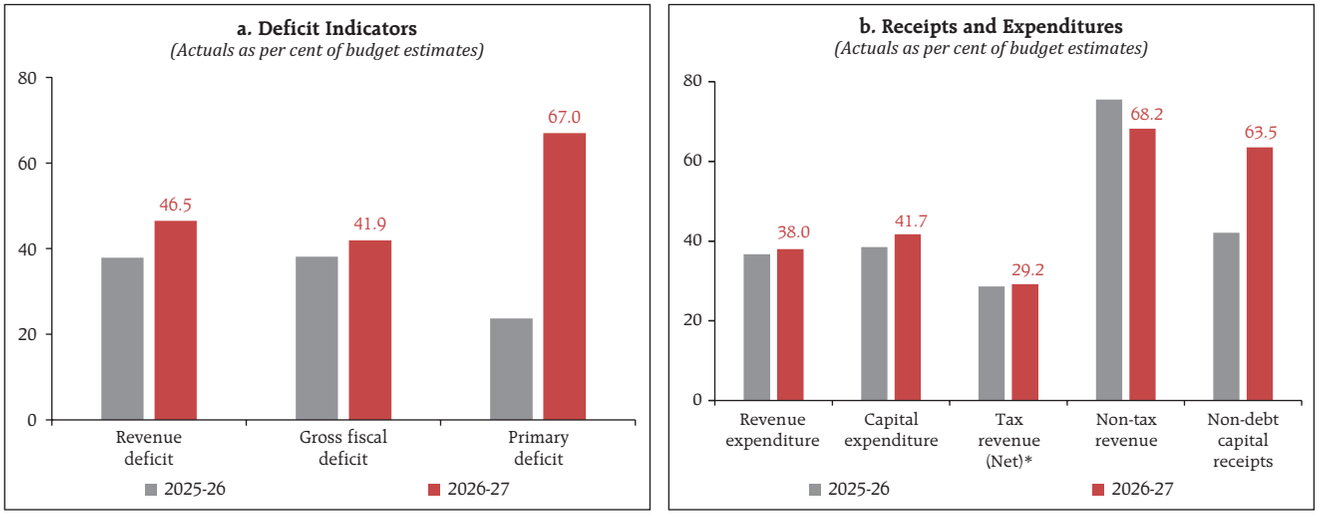
The Union government's key deficit indicators—as per cent of the budget estimates—were higher in April-August:2026-27 as compared to the corresponding period last year (Chart III.1a).[12] The gross fiscal deficit (GFD) expanded on account of higher revenue expenditure, driven by increase in major subsidies, while interest expenses contracted.[13] Non-tax revenue as per cent of budget estimates, also declined from the previous year. The capital expenditure, on the other hand, continued to record double-digit growth for the second consecutive year reflecting government's thrust on infrastructure-led spending (Chart III.1b).[14]

During the same period, the States' key deficit indicators, as a proportion of full year budget estimates, remained lower than the previous year (Chart III.2). The improvement in the GFD was primarily attributable to stronger growth in revenue receipts accompanied by a moderation in overall expenditure. Within revenue receipts, state GST—accounting for the highest share—recorded robust growth, while collections from other sources such as state excise, sales tax, stamp duty and land revenue remained strong. On the expenditure side, both revenue and capital expenditure growth moderated.

Trade

Both merchandise export and import growth remained robust in Q2:2026-27 as compared to the previous year,[15] while trade deficit widened marginally.[16] The merchandise trade deficit narrowed (y-o-y) in September over the year, although it expanded sequentially (Chart III.3).[17] The trade

Chart III.1: Major Fiscal Indicators of the Centre during April-August: 2026-27#



#: Data is till end-August.
*: Tax revenue (net) is gross tax revenue net of 'assignment to states' and 'collections under National Calamity Contingency Duty to be transferred to National Disaster Response Fund'.
Sources: Controller General of Accounts (CGA); and Union Budget Documents.

[12] As per the latest data released by the Controller General of Accounts (CGA).

[13] During April-August:2026-27, major subsidies (food, fertiliser and petroleum) grew (y-o-y) by 24.4 per cent, as compared to (-)15.8 per cent, in the corresponding period of the previous year. During the same period, interest payments grew (y-o-y) by (-) 2.6 per cent, as compared to 32.1 per cent last year.

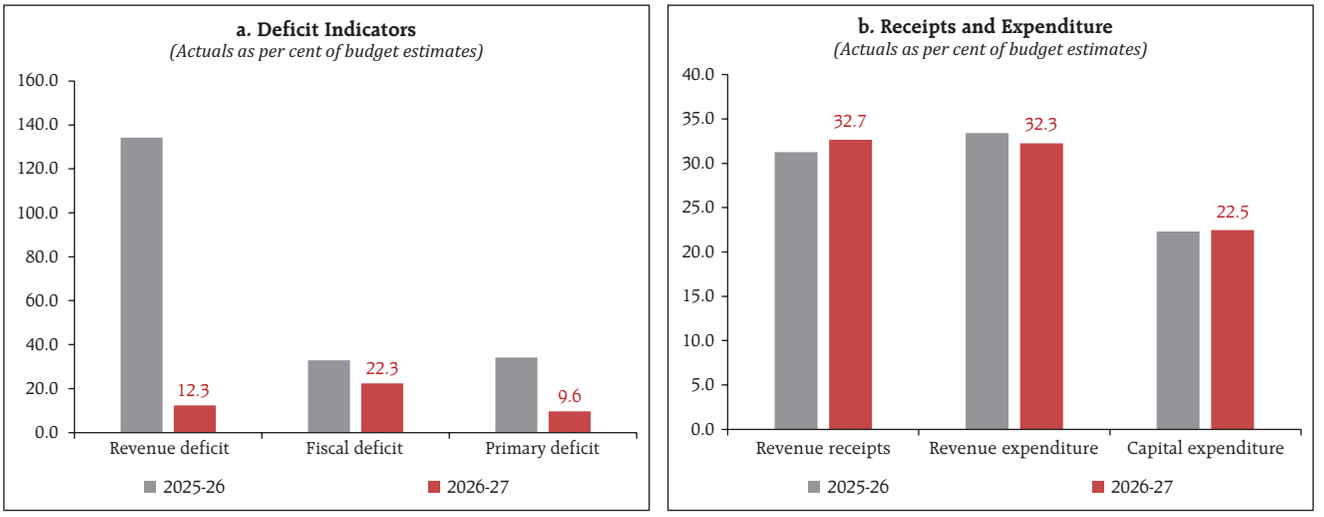
[14] During April-August: 2026-27, capital expenditure grew (y-o-y) by 18.2 per cent, as compared to 43.4 per cent, in the corresponding period of the previous year.

[15] Merchandise exports grew by 22.9 per cent (y-o-y) in Q2:2026-27 as against 8.2 per cent (y-o-y) in Q2:2025-26. Imports grew by 13.0 per cent (y-o-y) and 4.9 per cent (y-o-y), respectively during this period.

[16] The merchandise trade deficit widened to US$ 88.9 billion in Q2:2026-27 from US$ 88.1 billion in the corresponding quarter of the previous year.

[17] The merchandise trade deficit stood at US$ 30.2 billion in September 2026, lower than US$ 33.0 billion in September 2025, but higher than US$ 26.9 billion in August 2026.

Chart III.2: Major Fiscal Indicators of the States during April-August: 2026-27#

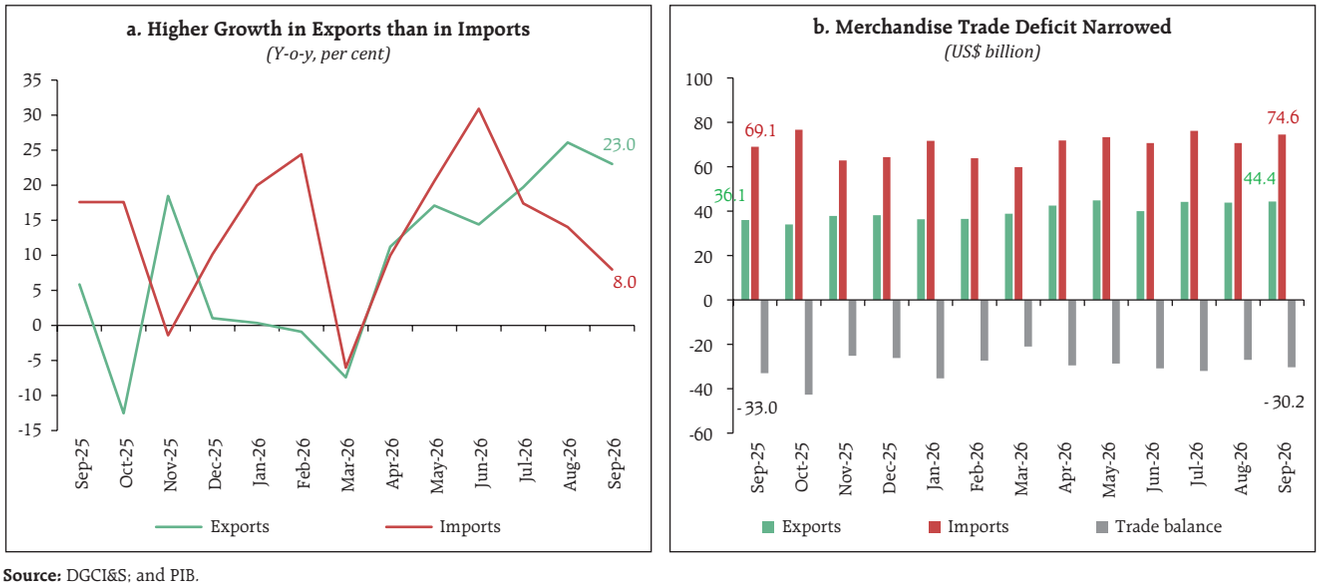


#: Data is till end-August.
Note: Data pertain to 23 States.
Source: Comptroller and Auditor General of India.

deficit in electronic goods recorded the highest level in recent years, contributing roughly one-third of the deficit.[18]

Merchandise exports posted strong growth in September with double-digit growth for the sixth straight month.[19] The expansion was broad-based, with ready-made garments, and gems and jewellery recording high growth besides electronic goods, engineering goods and petroleum products.[20] The ready-made garments rebounded after a prolonged

Chart III.3: India's Merchandise Trade Deficit Narrowed in September 2026 (y-o-y)



Source: DGCI&S; and PIB.

[18] The trade deficit in electronic goods widened to US$ 9.6 billion in September 2026 from US$ 6.7 billion a year ago.

[19] Merchandise exports grew by 23.0 per cent (y-o-y) in September 2026 to US$ 44.4 billion from US$ 36.1 billion a year ago.

[20] During September 2026, ready-made garments of all textiles, and gems and jewellery exports rose by 13.7 per cent and 19.0 per cent (y-o-y), respectively. Electronic goods, engineering goods and petroleum products registered growth of 70.4 per cent, 20.9 per cent and 31.9 per cent (y-o-y), respectively.

slack, while other commodities such as marine products, and leather and leather products grew at a modest pace.[21] By destination, exports to the US sustained double-digit growth for the third consecutive month.[22]

Import growth in September was the lowest recorded during 2026-27 so far, driven largely by the slowdown of precious metals growth, with both gold and silver imports contracting in September 2026.[23] In contrast, imports of petroleum, crude and products, and electronic goods continued to expand at double-digit.[24] Imports from key oil suppliers such as Russia, Oman, Brazil and Nigeria remained robust.[25]

Net services exports continued to grow at a healthy pace in August, supported by strong growth in exports, even as imports increased at a faster pace (Chart III.4).[26] The rise in services exports was primarily driven by business, software, and transport services, while transport, computer and business services supported the growth in services imports. Net transfer receipts, mainly representing remittances, rose by 20.1 per cent (y-o-y) during April-August 2026 despite the West Asia conflict. [27]

Chart III.4: Net Services Exports Recorded Healthy Growth in August

(Y-o-y, Per cent)



Source: RBI.

Aggregate Supply

Agriculture

The south-west monsoon season (June-September) ended with rainfall of 87 per cent of the long period average (LPA) with uneven spatial[28] and temporal distribution (Chart III.5a). Consequently, the reservoir position at the all-India level was at below the decadal average as well as the corresponding level in 2025 (Chart III.5b)[29].

The *kharif* sowing ended with the total acreage at one per cent lower than the previous year, but remained above normal levels.[30] Across major crops, area sown was higher for pulses, coarse cereals, and oilseeds, and lower for rice, sugarcane, and cotton

[21] Marine products recorded growth of 8.8 per cent *(y-o-y)*, while leather and leather products grew by 4.8 per cent *(y-o-y)*.

[22] Exports to the US grew by 48.0 per cent *(y-o-y)* in September 2026 [12.8 per cent *(y-o-y)* in July and 21.8 per cent *(y-o-y)* in August 2026].

[23] Merchandise imports grew by 8.0 per cent *(y-o-y)* in September 2026 to US$ 74.6 billion from US$ 69.1 billion a year ago. Gold imports contracted by 57.7 per cent *(y-o-y)* and 81.3 per cent *(y-o-y)*, respectively in August and September 2026. Silver imports declined by 49.1 per cent *(y-o-y)* in September 2026 after registering a growth of 127.1 per cent *(y-o-y)* in August 2026.

[24] In September 2026, imports of petroleum, crude and products grew by 30.8 per cent *(y-o-y)*, while electronic goods grew by 51.5 per cent *(y-o-y)*.

[25] Imports from Russia, Oman, Brazil, and Nigeria grew by 25.6 per cent, 331.8 per cent, 67.0 per cent and 64.1 per cent *(y-o-y)*, respectively in September 2026.

[26] Net services exports grew by 6.0 per cent *(y-o-y)* to US$ 16.5 billion in August 2026. During April-August 2026, net services exports increased to US$ 85.5 billion from US$ 79.9 billion last year.

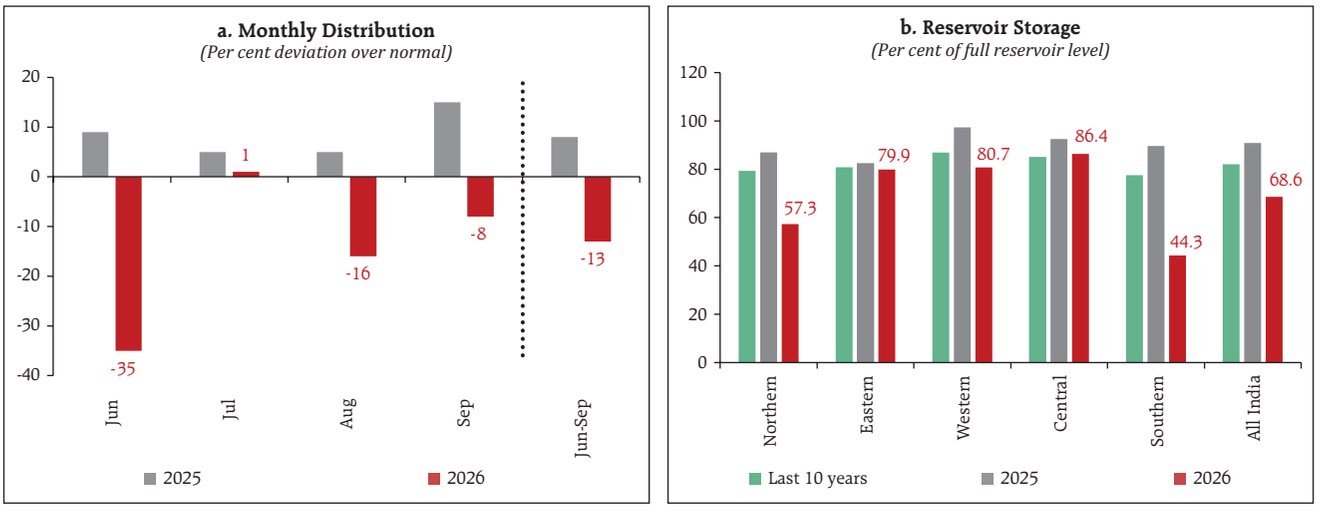
[27] During April-August 2026, net transfers receipts were at US$ 66.8 billion as compared to US$ 55.6 billion a year ago.

[28] All four homogenous regions, *viz.*, North-west, East & North-east, Central and South Peninsula recorded rainfall deficit of 5.9 per cent, 25.6 per cent, 2.6 per cent and 24.3 per cent, respectively. The rainfall during south-west monsoon was the lowest since 2015, the 4th lowest since 2001 and the 13th lowest since 1901.

[29] As of October 15, 2026, the storage position in 178 reservoirs monitored by the Central Water Commission stood at 69 per cent of full reservoir level, which was lower than the decadal average (82 per cent) and the previous year (91 per cent).

[30] As of October 2, 2026, *kharif* sowing at 1,115 lakh hectares was lower by 1.0 per cent over the corresponding period of previous year (1,127 lakh hectares) but higher by 1.0 per cent over the full season normal *kharif* area (1,104.5 lakh hectares).

Chart III.5: South-west Monsoon 2026 Ended below Normal

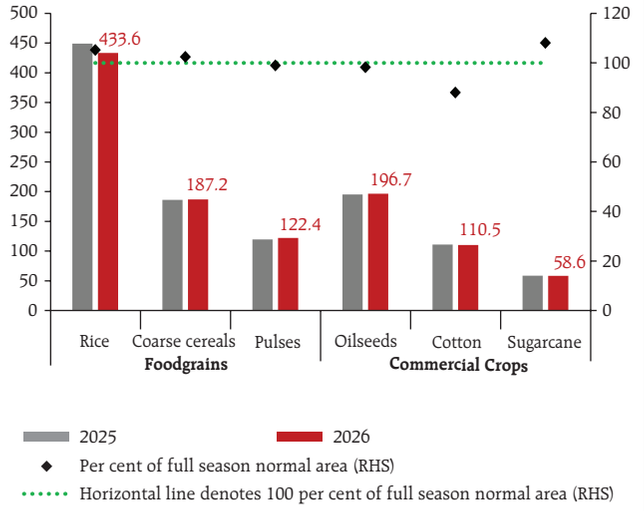


Notes: 1. While the actual end date of the SWM may vary, the IMD assumes September 30 as the official end date.
2. Reservoir levels as on October 15, 2026.
Sources: India Meteorological Department (IMD); and Central Water Commission (CWC).

as compared to the previous year (Chart III.6). The deficient rainfall in certain regions is likely to adversely affect the yields of *kharif* crops.[31]

Chart III.6: *Kharif* Sown Area

(Lakh hectares; left scale; per cent, right scale)



Note: Data is as on October 2, 2026.
Source: Ministry of Agriculture and Farmers' Welfare.

The stock of the staple cereals (*i.e.* rice and wheat) with the government remains high and comfortable[32], reflecting strong procurement operations in the previous *rabi* and *kharif* seasons. The increase in minimum support prices (MSP) for the upcoming *rabi* marketing season (April 2027-March 2028), announced on September 30, 2026, seeks to ensure remunerative prices for farmers in general, while also making an attempt to incentivise crop diversification (Chart III.7).[33]

Industry and Services

Monthly Indicators of Industrial Activity

Based on high-frequency indicators, industrial activity remained resilient despite the geopolitical tensions in West Asia. During August, broad-based growth in manufacturing activity pulled up the overall index of industrial production (IIP), even as the mining activity contracted. Manufacturing PMI

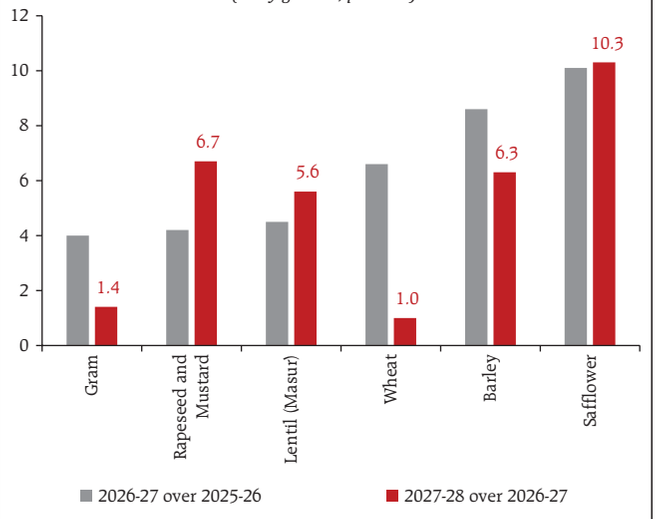
[31] As per the satellite-based assessment published by the Mahalanobis National Crop Forecast Centre (under the Ministry of Agriculture and Farmers' Welfare), the Normalised Difference Vegetation Index, an indicator of crop situation, has been lower during September 06-21, 2026 compared to corresponding average of the past 5 years in parts of Rajasthan, Karnataka, Andhra Pradesh, Tamil Nadu and in pockets of Gujarat, Telangana and Maharashtra. (https://www.ncfc.gov.in/downloads/LatestAgriculturalCondAsses.pdf)

[32] As on October 1, 2026, the combined public stock of rice and wheat was 3.3 times the quarterly buffer norm.

[33] The MSP has been increased in the range of 1.0 per cent (wheat) to 10.3 per cent (safflower) over previous year for the *rabi* crops.

Chart III.7: MSP for *Rabi* Crops for Marketing Season 2027-28

(Y-o-y growth, per cent)



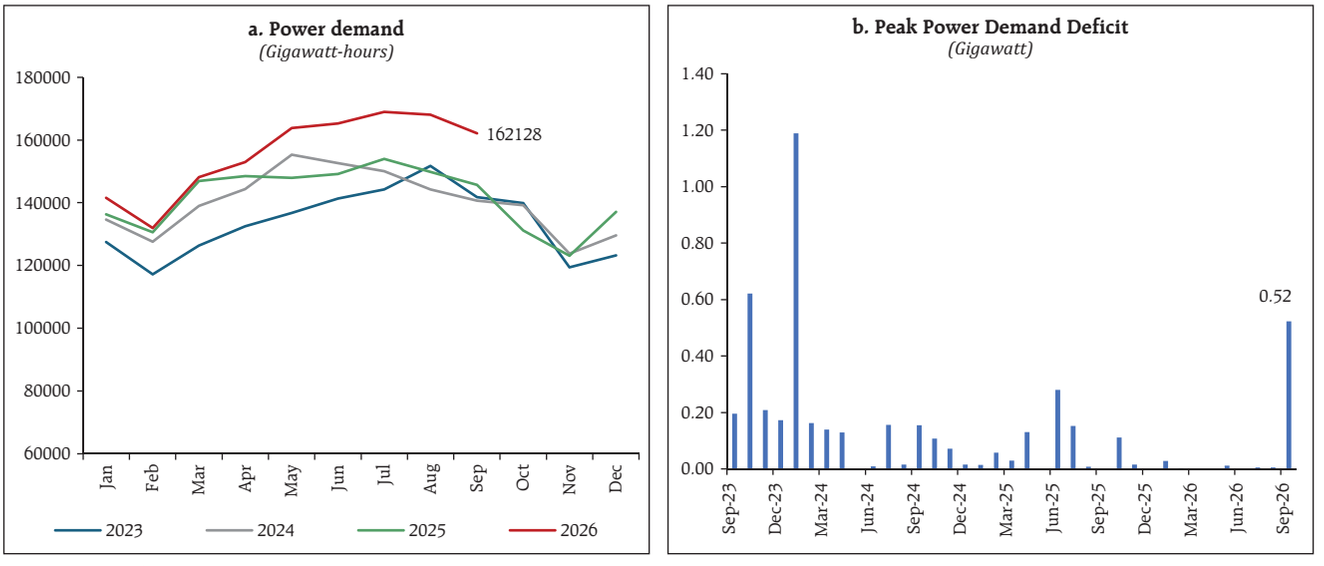
Source: Ministry of Agriculture and Farmers' Welfare.

picked up in September driven by strong domestic and external demand, despite firming up of input cost pressures and output prices. Business confidence reached a four-month high in anticipation of higher demand.

Electricity generation stayed strong. The renewable power's share in total generation surpassed the 20 per cent mark in August 2026.[34] Conventional power generation accelerated in September. Both power demand and the peak power demand reached the highest levels ever recorded in September driven by elevated cooling and irrigation demands. The peak demand in September was close to that in the summer months of May and July.[35] Due to demand pressures and contraction in hydropower generation, the peak power deficit reached its highest level since January 2024 (Chart III.8).[36]

The index of core industries (ICI) picked up sharply in September supported by electricity and refinery products. Automobile production continued to register robust growth, led by passenger vehicles and three-wheelers. The import of capital goods continued its strong growth momentum, aided by electronic goods (Table III.4).

Chart III.8: Power Demand Conditions



Source: CEIC Database.

[34] The data on the electricity generation from renewable energy sources is exclusive of large hydro power projects.

[35] The peak power demand in May, July and September stood at 270.8 Gigawatts (GW), 270.2 GW and 269.6 GW, respectively.

[36] The hydropower generation registered a y-o-y de-growth of 16.3 per cent in September 2026.

Table III.4: High Frequency Indicators for Industry Remained Robust

Indicator	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26	Sep-26
IIP-Headline	6.1	-0.9	7.0	6.7	4.1	4.4	3.0	4.9	5.0	8.8	7.4	8.0	
IIP Manufacturing	5.5	-0.7	8.8	7.7	4.6	5.7	4.0	6.1	5.2	9.5	8.2	9.0	
IIP capital goods	13.2	5.4	16.6	12.9	12.4	16.5	8.5	12.0	15.5	17.9	19.0	16.9	
PMI Manufacturing	57.7	59.2	56.6	55.0	55.4	56.9	53.9	54.7	55.0	54.2	53.5	52.8	55.1
PMI Export Order	56.5	54.7	54.1	54.0	54.1	53.2	55.0	56.3	53.7	52.1	54.3	53.0	53.8
PMI Manufacturing: Future Output	64.8	62.3	57.1	56.9	56.4	57.9	67.3	65.5	64.1	56.8	57.6	57.9	59.1
Index of Core Industries	3.1	0.8	3.5	5.6	5.2	3.2	2.9	2.7	3.2	6.0	5.0	5.9	7.9
Electricity generation: Conventional (Volume)	0.8	-10.6	-5.0	4.4	2.2	-1.5	-1.1	2.3	7.5	8.3	7.4	7.8	10.6
Electricity generation: Renewable (Volume)	16.4	21.4	22.9	18.0	22.9	25.3	11.7	23.2	29.9	24.7	17.3	39.2	
Automobile Production (Volume)	10.8	-2.8	22.3	37.1	15.0	22.1	20.2	26.0	13.4	27.5	24.8	16.9	12.0
Of which													
Passenger vehicle production	16.2	9.8	22.8	23.1	5.6	9.8	9.0	12.8	10.9	17.6	26.4	25.7	16.1
Two-wheelers production	10.2	-5.6	20.9	39.9	16.1	24.4	22.0	28.1	13.0	28.3	24.2	15.2	10.8
Three-wheelers production	16.5	15.9	55.4	39.6	33.2	29.9	34.0	41.6	32.9	42.8	30.0	21.5	21.5
Tractor production (Volume)	23.0	13.0	37.5	57.9	14.6	80.0	28.6	18.1	15.5	10.2	6.7	13.6	1.0
Crude steel production (Volume)	13.9	8.9	11.1	10.8	11.5	11.4	10.6	4.5	1.9	4.4	1.4	5.2	3.4
Finished steel production (Volume)	13.6	7.2	12.4	10.9	12.5	8.6	8.2	6.3	6.8	3.8	1.5	3.2	1.9
Import of capital goods (Value)	12.7	11.8	14.8	17.5	7.5	18.2	13.2	21.6	18.1	38.8	25.5	23.7	29.8

<<Contraction ---------- Expansion>>

Notes: 1. The y-o-y growth (in per cent) has been calculated for all indicators (except for PMI).
2. The heatmap translates the data range for each indicator into a colour gradient scheme with red denoting the lowest values and green corresponding to the highest values of the respective data series.
3. The heatmap is applied on data from April 2023 to the latest month for which data is available.
4. All PMI values are reported in index form. A PMI value >50 denotes expansion, <50 denotes contraction and =50 denotes 'no change'. In the PMI heatmaps, red denotes the lowest value, yellow denotes 50 (or the no change value), and green denotes the highest value in each of the PMI series.

Sources: Ministry of Statistics and Programme Implementation (MoSPI); S&P Global; Central Electricity Authority (CEA), Ministry of Power; Society of Indian Automobile Manufacturers (SIAM); Office of Economic Adviser, GoI; Joint Plant Committee; Directorate General of Commercial Intelligence & Statistics; and Tractor and Mechanisation Association.

Monthly Indicators of Services Activity

Service sector activity remained resilient in September. PMI Services reached a three-month high on the back of strong demand. Trade activity remained resilient with strong freight movement in August. The port cargo traffic in September also recorded its highest growth since December 2025 primarily on account of rise in the shipping of petroleum, oil and lubricant (POL) commodities as iron ore and fertilisers movement softened.[37] Steel consumption remained strong suggesting steady construction activity. Retail commercial vehicle sales exceeded the one-lakh mark in September for the first time[38], largely attributable to higher infrastructure and mining related activities (Table III.5).

[37] The y-o-y growth for port cargo traffic for POL, iron ore and fertiliser at major ports stood at 25.9 per cent, (-) 15.7 per cent, and (-) 42.2 per cent, respectively, in September 2026.

[38] The retail commercial vehicle sales stood at 1.04 lakh units in September 2026.

Table III.5: High Frequency Indicators for Services Remained Robust

Indicator	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26	Sep-26
PMI Services	60.9	58.9	59.8	58.0	58.5	58.1	57.5	58.8	59.8	57.4	53.3	54.1	55.2
International Air Passenger Traffic	7.3	9.7	7.5	6.0	7.1	3.0	-18.5	-16.1	-9.1	-4.6	-4.6	-3.4	
Domestic Air Cargo	2.8	-2.3	20.5	4.3	8.7	18.5	10.8	7.0	10.7	9.4	4.2	5.6	
International Air Cargo	2.3	-2.3	12.7	12.6	8.4	17.5	-6.0	11.6	10.4	19.4	14.9	15.5	
Port Cargo Traffic	11.5	11.9	14.5	12.7	7.6	5.1	0.6	2.4	6.6	9.2	8.8	8.4	12.7
Railway Freight traffic: freight originating	3.9	2.3	4.2	3.2	2.9	4.0	3.1	-1.0	1.4	4.0	8.9	5.3	
Retail Commercial vehicle sales	2.7	21.1	17.0	24.6	15.1	28.9	15.1	18.8	5.3	16.9	24.0	14.5	37.6
Steel Consumption	8.9	2.4	6.0	5.4	4.9	12.8	13.7	8.1	9.4	7.3	6.7	5.7	8.0
Cement Production	5.1	5.2	15.1	14.0	11.3	9.1	4.7	8.3	8.4	9.9	12.7	12.5	
Foreign Tourist Arrivals	-9.8	-5.1	-2.0	2.0	5.2	6.1	-1.6	-14.7	9.0	6.6			
Hotel occupancy	-0.6	0.0	3.8	-1.5	-8.5	1.2	-4.0	-1.0	9.9	5.5	2.8		

<<Contraction ---------- Expansion>>

Notes: 1. The y-o-y growth (in per cent) has been calculated for all indicators (except for PMI).
2. The heatmap translates the data range for each indicator into a colour gradient scheme with red denoting the lowest values and green corresponding to the highest values of the respective data series.
3. The heatmap is applied to data from April 2023 to the latest month for which data is available.
4. All PMI values are reported in index form. A PMI value >50 denotes expansion, <50 denotes contraction and =50 denotes 'no change'. In the PMI heatmaps, red denotes the lowest value, yellow denotes 50 (or the no change value), and green denotes the highest value in each of the PMI series.
5. The data on international air passenger traffic for August 2026 growth rate is calculated by aggregating daily data.

Sources: Federation of Automobile Dealers Associations (FADA); Indian Ports Association; Ministry of Railways; Airports Authority of India; Joint Plant Committee, Ministry of Steel; Office of Economic Adviser, Ministry of Commerce & Industry; Ministry of Tourism; HVS Anarock; and S&P Global.

Inflation

The headline Consumer Price Index (CPI) inflation[39] rose to a 23-month high of 5.5 per cent (y-o-y) in September from 4.8 per cent in August, driven by a broad-based increase in food, fuel and core (CPI excluding food and fuel) components (Chart III.9).[40] Eleven out of twelve divisions witnessed a sequential increase in inflation (Chart III.10).

Within 'food and beverages' division, inflation pressures were evident across the board, with notable rise in vegetables, cereals, oils and fats, and sugar. The positive momentum in September was evident with indices for all sub-components of 'food and beverages' rising month-on-month (m-o-m) except animal protein (meat, fish and eggs) and fruits. Fuel inflation increased marginally in September over August.[41]

Inflation in rural areas has been higher than that in the urban areas.[42] The majority of States/UTs has recorded inflation in the range of 4-6 per cent in September (Chart III.11).[43]

Core inflation inched up to 4.3 per cent in September from 4.2 per cent in August, persistently driven by 'personal care, social protection and

[39] As per the provisional data released by the National Statistics Office (NSO) on October 12, 2026.

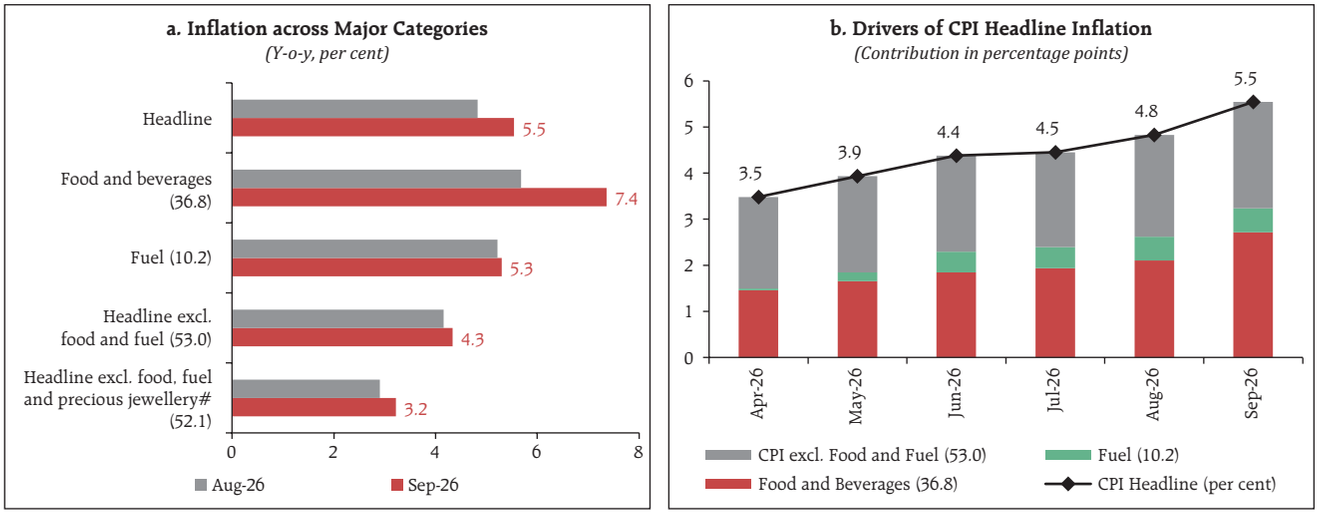
[40] On a month-on-month basis, the index recorded a positive momentum of 69 basis points (bps) while base effect was negligible. All the major constituents of CPI, *viz.*, 'food and beverages', fuel, and core (excluding food and fuel) recorded a positive momentum in September. Fuel represents the group 'Electricity, gas and other fuels' and a class 'Fuels and lubricants' for personal transport equipment [which includes diesel, petrol and other natural gas (compressed natural gas)]. For more details, refer to Box IV.2 in the 'Prices and Costs' chapter of the Monetary Policy Report, April 2026.

[41] CPI fuel inflation increased to 5.3 per cent in September from 5.2 per cent in August.

[42] Inflation stood at 4.9 per cent and 6.1 per cent, respectively, in urban and rural areas in September. In August, urban and rural inflation stood at 4.3 per cent and 5.2 per cent, respectively.

[43] Inflation ranged from 2.9 per cent to 6.9 per cent across states/UTs. States like Telangana, Tamil Nadu and Puducherry recorded inflation in excess of 6 per cent across both rural and urban areas.

Chart III.9: Broad-Based Uptick in CPI Headline Inflation in September

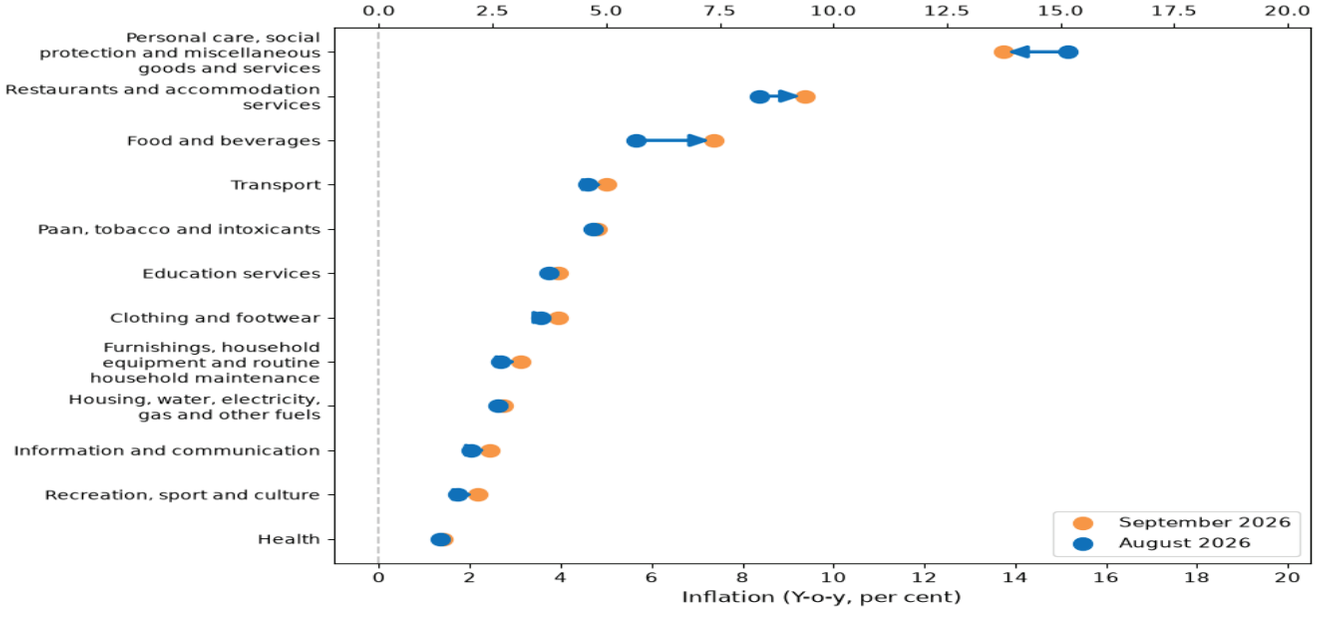


#: Precious jewellery includes the items 'gold/diamond/platinum jewellery' and 'silver jewellery'.
Note: Figures in parentheses indicate weights in Consumer Price Index-Combined (CPI-C) (2024=100).
Source: National Statistics Office (NSO); and RBI staff calculations.

miscellaneous goods and services' on account of high precious metal prices. The momentum also picked up in 'restaurant and accommodation services', 'clothing and footwear', 'furnishings, household equipment and routine household maintenance' and 'recreation, sport and culture', indicating broadening of price pressures. Core inflation excluding precious metals increased to 3.2 per cent in September from 2.9 per cent in August. Some estimates of diffusion indices[44] reveal that the share of items recording above 4 per cent as well

Chart III.10: Division-wise Change in Inflation Rates

(Y-o-y, per cent)

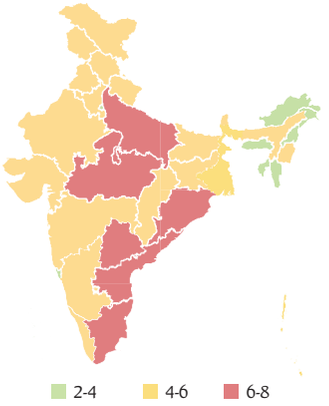


Sources: NSO; and RBI staff calculations.

[44] Diffusion index is a measure of generalisation of inflation which captures the weighted distribution of item-level price changes in the CPI basket. An increase in the diffusion index in the high inflation categories indicates that price pressures are becoming more widespread across the consumption basket.

Chart III.11: Spatial Distribution of Inflation: September 2026

(Y-o-y, per cent)



Inflation Range	Number of States/UTs
<2	0
2-4	8
4-6	20
6-8	8

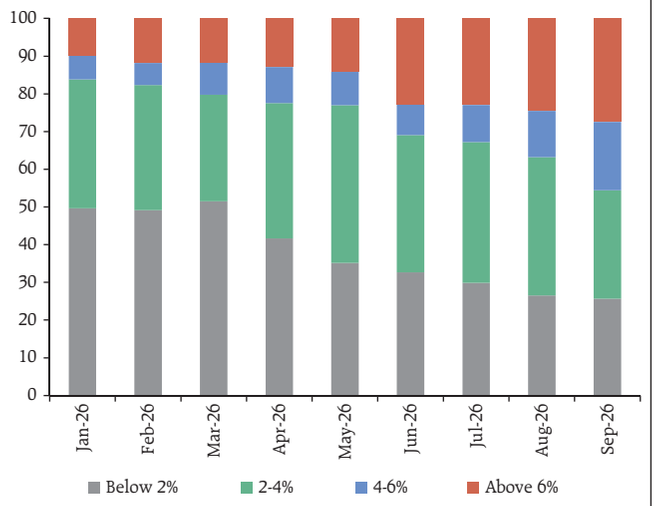
Monthly Inflation Trend	Number of States/UTs
Decline or Stable	1
Increase	35

Notes: 1. Map is for illustrative purposes only.
2. Andaman and Nicobar Islands and Lakshadweep experienced inflation of 4.3 per cent and 4.0 per cent, respectively.

Sources: NSO; and RBI staff calculations.

Chart III.12: Diffusion Indices for Headline Inflation

(Weighted share of CPI basket, per cent)



Sources: NSO; and RBI staff calculations.

as above 6 per cent inflation went up in September indicating movement towards generalisation of inflation and rising cost pressures (Chart III.12).

In October so far (till 19th), high-frequency data suggest broad-based increase in food prices. Among cereals, rice and wheat prices continued to increase. Prices of major pulses also went up sequentially. Edible oil prices also recorded a slow and broad-based increase, led by mustard and palm oil. Among vegetables, while potato prices declined and the pace of onion price increases dropped, tomato prices picked up (Chart III.13).

Retail prices of petrol, diesel, and domestic LPG remained unchanged in October so far (till 19th) (Table III.6). The price of the Indian basket crude oil[45] increased to US$ 121.3 per barrel in October (till 16th) [Chart III.14].

WPI inflation recorded its first double-digit rate in the new series (Base 2022-23) at 11.4 per cent in September 2026 rising from 9.9 per cent in August, reflecting a broad-based increase in prices[46]. Industrial and farm input costs remained elevated.[47] Inflation in Output Producer Price Index surged to 11.4 per cent in September 2026 from 9.8 per cent in August led by manufacturing products, and mining & quarrying.

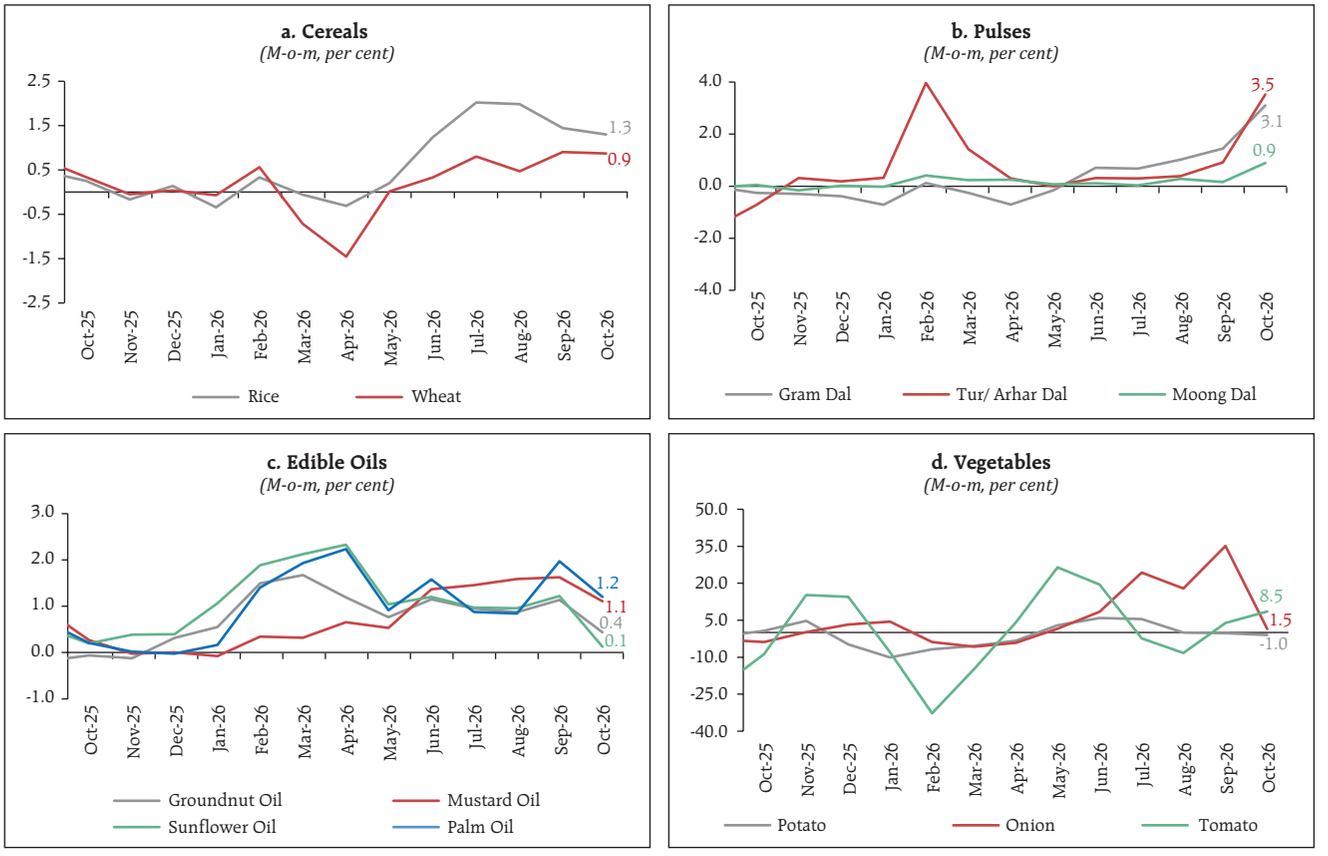
The pace of expansion in PMI input and output prices increased for manufacturing but moderated for services in September. The gap between input and output prices narrowed for manufacturing but increased for services (Chart III.15).

[45] Represents a derived basket of Sweet grade (Brent dated) and Sour grade (Oman and Dubai average) imported by Indian refineries during the month in the ratio 79:21 for July, 75:25 for August, 78:22 for September, and 65:35 for October.

[46] Inflation in 'primary articles', 'fuel and power' and 'manufactured products' increased to 8.7 per cent, 25.9 per cent and 9.8 per cent, respectively, in September from 7.8 per cent, 22.9 per cent and 8.4 per cent in the previous month.

[47] Inflation in industrial inputs remained elevated at 15.5 per cent in September compared to 15.6 per cent in August while inflation in farm inputs increased to 11.0 per cent in September from 10.0 per cent in August. Industrial input cost comprises primary non-food articles, minerals, coal, aviation turbine fuel, high speed diesel, naphtha, bitumen, furnace oil, lube oil, petroleum coke, electricity, cotton yarn and paper and pulp from WPI. Farm input cost comprises high speed diesel, fodder, electricity, fertilisers, pesticides and agricultural and forestry machinery from WPI.

Chart III.13: Broad Based Food Price Pressures in October 2026



Note: Data pertains to October 1-19, 2026, and reflects the m-o-m changes in average prices compared to the corresponding period of the previous month.
Sources: Department of Consumer Affairs, GoI; and RBI staff calculations.

Table III.6: Petroleum Product Prices Remained Unchanged in September and October

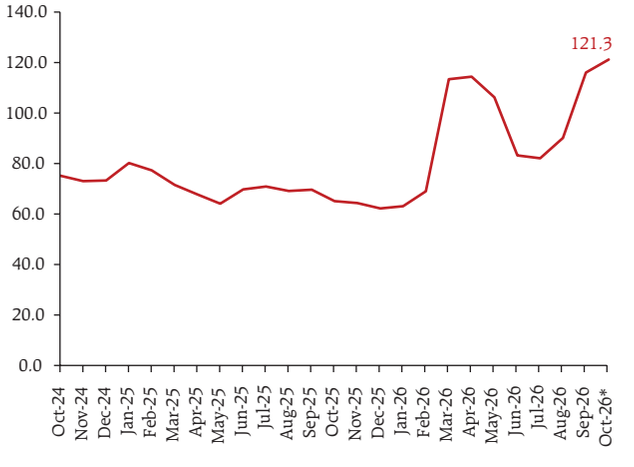
Item	Unit	Domestic Prices			Month-over-month (per cent)	
		Oct-25	Sep-26	Oct-26 ^	Sep-26	Oct-26 ^
Petrol	₹/litre	101.1	108.7	108.7	0.0	0.0
Diesel	₹/litre	90.5	98.1	98.1	0.0	0.0
Kerosene (subsidised)	₹/litre	45.4	46.8	46.8	0.0	0.0
LPG (non-subsidised)	₹/cylinder	863.3	952.3	952.3	0.0	0.0

^: For the period October 1-19, 2026.

Note: Other than kerosene, prices represent the average Indian Oil Corporation Limited (IOCL) prices in four major metros (Delhi, Kolkata, Mumbai and Chennai). For kerosene, prices denote the average of the subsidised prices in Kolkata, Mumbai and Chennai.
Sources: IOCL; Petroleum Planning and Analysis Cell (PPAC); and RBI staff calculations.

Chart III.14: Indian Basket Crude Oil Prices Increased in October

(USD per barrel)



*: Data up to October 16, 2026.
Note: Data indicates monthly average.
Source: Petroleum Planning and Analysis Cell (PPAC).

Chart III.15: PMI Input and Output Prices for Manufacturing and Services



Note: A level of 50 corresponds to no change in activity, and a reading above 50 denotes expansion and vice versa.
Source: S&P.

IV. Financial Conditions

System liquidity[48] remained in surplus during September and early October supported by strong inflows under FCNR(B) swap facility.[49] The surplus, however, moderated as the Reserve Bank conducted open market sales.[50] The Reserve Bank also conducted fine-tuning variable rate reverse repo (VRRR) and variable rate repo (VRR) auctions to smoothen liquidity.[51] The average daily deployment under the Standing Deposit Facility (SDF) declined and the banks' reliance on the Marginal Standing Facility (MSF) remained low (Chart IV.1).[52]

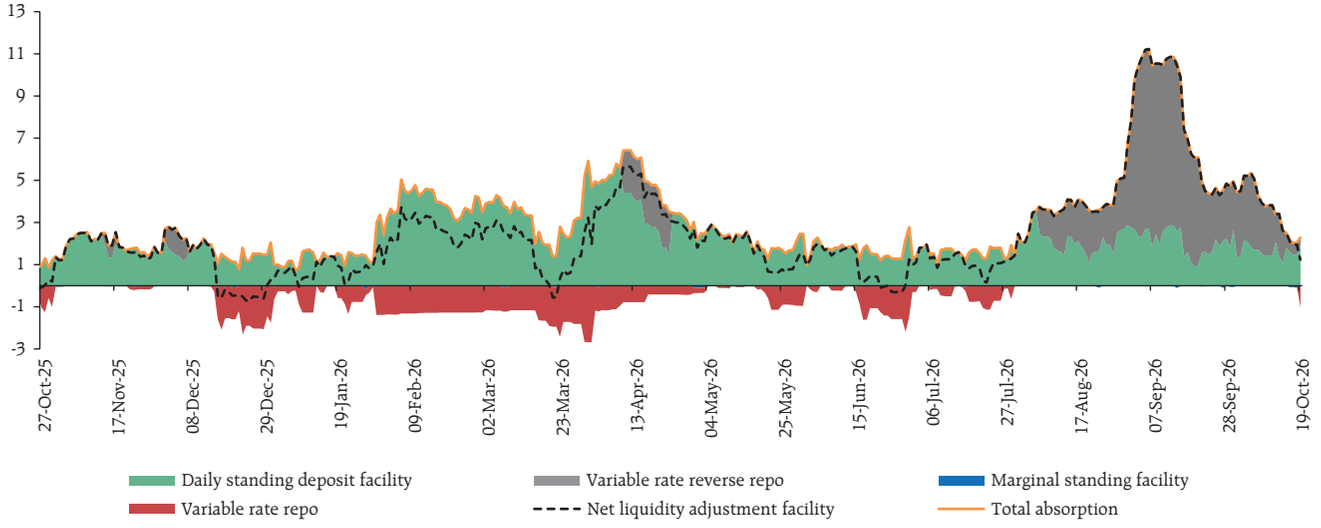
Money Market

The WACR traded in the lower half of the policy corridor during September and early October (Chart IV.2a).[53] The Reserve Bank increased the minimum daily balance of the cash reserve ratio (CRR) to be maintained by scheduled commercial banks from 90 per cent of the required CRR on all days to 99 per cent, effective fortnight beginning October 16, 2026. Moderation in surplus liquidity on account of GST related outflows along with the change in CRR prescription pushed WACR into the upper half of the policy corridor in the second half of October. Overnight rates in the collateralised segment moved in tandem with the WACR. Other money market rates, *i.e.*, 3-month Treasury Bills, CPs and CDs rose after the repo rate hike (Chart IV.2b).[54] The spread between 3-month CP and 91-day treasury bill rate increased marginally.[55]

[48] As measured by the average daily net absorption under the liquidity adjustment facility (LAF).
[49] Overall, daily average net absorption under the LAF was ₹3.60 lakh crore during October (up to October 19) compared to ₹7.8 lakh crore in September and ₹ 5.5 lakh crore in August.
[50] The Reserve Bank conducted OMO sales of ₹1.0 lakh crore in September and ₹0.25 lakh crore in October.
[51] To mop up liquidity surplus during September-October (up to October 15), the Reserve Bank conducted 38 fine-tuning VRRR auctions for overnight to 10-day maturities which saw an average bid-cover ratio of 0.66. Additionally, three term VRRR auctions of 26 to 30 days maturity were also conducted with average bid-cover ratio of 0.30. The Reserve Bank conducted 7-day VRR auction amounting to ₹1.0 lakh crore on October 19, 2026.
[52] Average balances under the standing deposit facility declined to ₹1.61 lakh crore during October (up to October 19), from ₹2.11 lakh crore in September. Average daily borrowings under the marginal standing facility rose to ₹2,104 crore (up to October 19) from ₹1,574 crore during September.
[53] On an average, the WACR spread over policy repo rate declined marginally from (-)18 basis points in September to (-)5 bps in October (up to October 19).
[54] The average yields on three-month Treasury bills increased by 28 bps in October (up to October 19) over September. The yield on three-month CDs and CPs issued by NBFCs hardened by 55 bps and 29 bps respectively, during the same period.
[55] Widened to an average of 147 bps in October (up to October 19) from 145 bps in September.

Chart IV.1: System Liquidity Remained in Surplus

(₹ lakh crore)

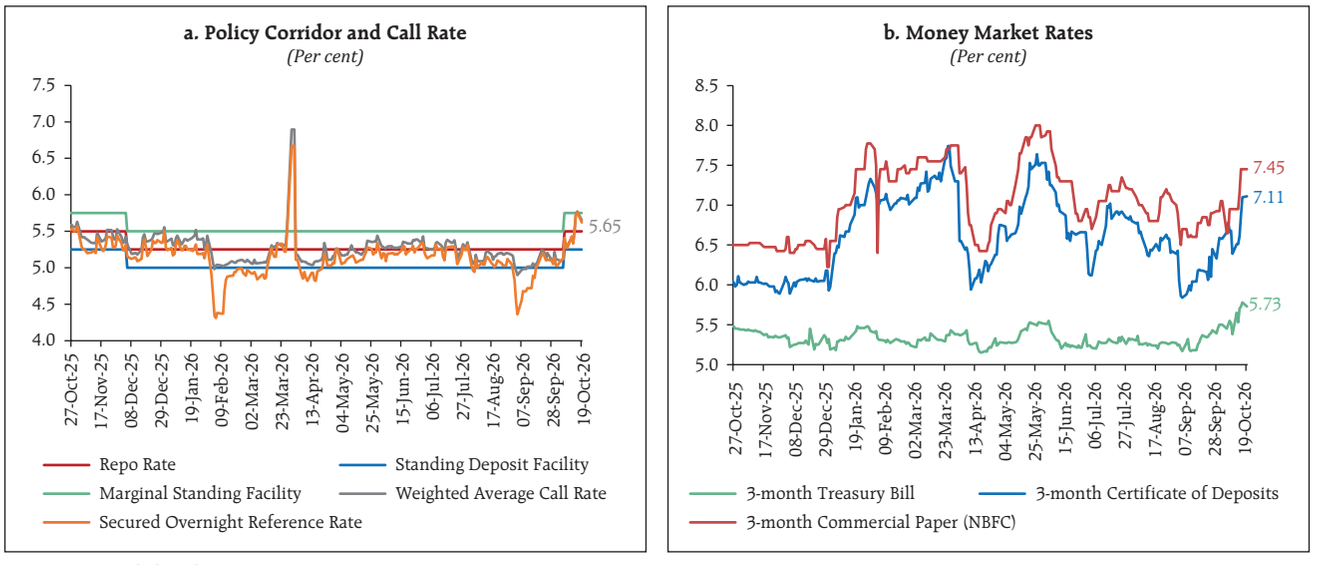


Source: RBI.

Government Securities (G-Sec) Market

Government security (G-sec) yields firmed up through September and early October with the benchmark 10-year G-Sec yield rising to a three-year high, driven by pick-up in crude oil prices and US Treasury yields (Chart IV.3a).[56] The Reserve Bank's policy rate hike and change of stance to calibrated tightening alongside liquidity absorption measures also impacted expectations. The yield curve shifted upwards in October (up to October 19) compared to the end-September levels (Chart IV.3b).

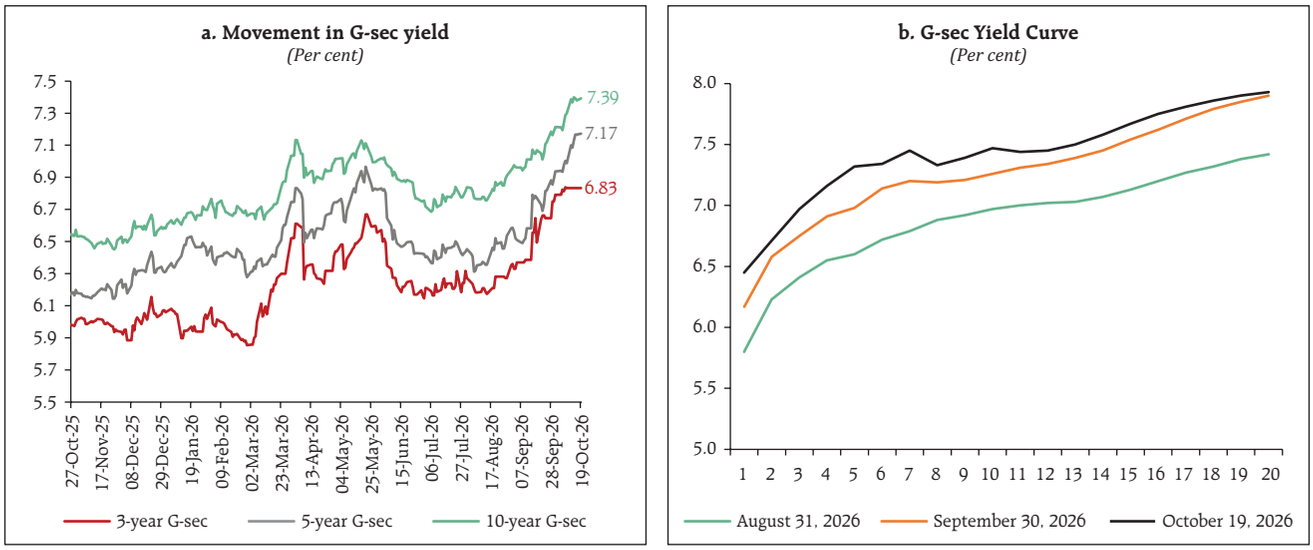
Chart IV.2: Money Market Rates Hardened Following Repo Rate Hike



Sources: RBI; and Bloomberg.

[56] Yield on 10-year G-sec closed at 7.39 per cent as on October 19, 2026, compared to 7.19 per cent at end-September.

Chart IV.3: G-sec Yields Hardened in October



Sources: Bloomberg; and Financial Benchmarks India Pvt. Ltd (FBIL).

Corporate Bond Market

Corporate bond issuances moderated in August as compared to July 2026 and the total issuance remained lower in the year so far.[57] Though the corporate bond yields hardened, the spreads softened across tenors and the rating spectrum in October (till 16th) [Table IV.1].

Money and Credit

Reserve money (adjusted for CRR) expanded at a robust pace with growth in currency in circulation recording its highest print over the past five years as on September 30, 2026.[58] The money supply growth also increased (Chart IV.4).[59]

Growth in bank credit picked up in September, while deposit growth stayed elevated. The incremental credit-deposit ratio, which declined between June and August 2026, rose in September 2026 (Chart IV.5).[60]

Table IV.1: Corporate Bond Yields Hardened and Spreads Softened

	Yields *(Per cent)*			Spread *(bps)* (Over corresponding risk-free rate)		
Instrument	**September 30, 2026**	**October 16, 2026**	**Variation** *(bps)*	**September 30, 2026**	**October 16, 2026**	**Variation**
1	**2**	**3**	**(4 = 3-2)**	**5**	**6**	**(7 = 6-5)**
(i) AAA (1-year)	7.53	7.82	29	148	141	-7
(ii) AAA (3-year)	7.85	8.11	26	123	113	-10
(iii) AAA (5-year)	7.81	8.14	33	105	90	-15
(iv) AA (3-year)	8.63	8.84	21	204	186	-18
(v) BBB minus (3-year)	12.23	12.42	19	562	544	-18

Source: Fixed Income Money Market and Derivatives Association of India.

[57] Issuances decreased to ₹0.59 lakh crore in August 2026 from ₹0.79 lakh crore in July 2026. On a cumulative basis, it declined to ₹3.26 lakh crore during April-August:2026-27 from ₹3.96 lakh crore during the corresponding period of the previous year.

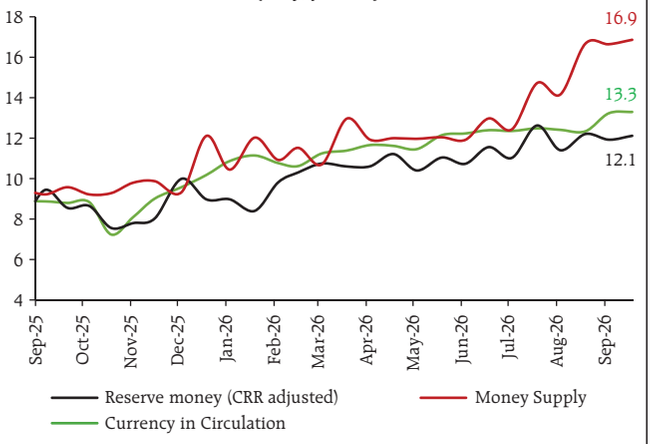
[58] Growth in reserve money (adjusted for the first-round impact of changes in the cash reserve ratio) stood at 12.1 per cent (y-o-y) as on September 30, 2026, as compared with 12.2 per cent (y-o-y) as on August 31, 2026. Growth in currency in circulation rose to 13.3 per cent (y-o-y) as on September 30, 2026, from 12.3 per cent (y-o-y) as on August 31, 2026.

[59] Growth in money supply increased to 16.9 per cent (y-o-y) as on September 30, 2026, from 16.7 per cent (y-o-y) as on August 31, 2026.

[60] SCBs' credit and deposit growth stood at 19.4 per cent (y-o-y) and 17.8 per cent (y-o-y), respectively, as on September 30, 2026, compared to 19.1 per cent (y-o-y) and 17.8 per cent (y-o-y), respectively, as on August 31, 2026.

Chart IV.4: Growth in Reserve Money and Money Supply (M_3)

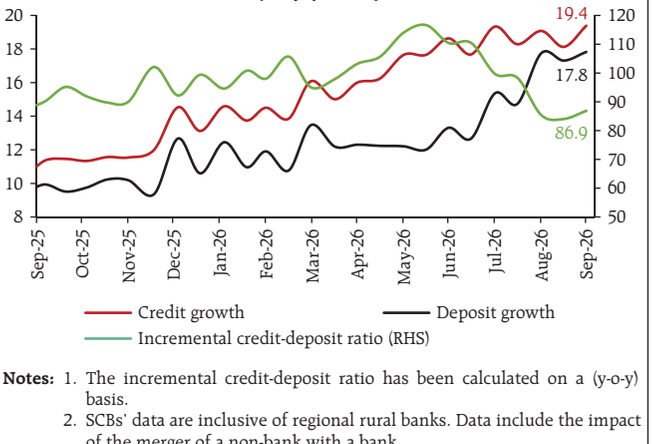
(Y-o-y, per cent)



Note: With the change in the definition of fortnight vide the Banking Laws (Amendment) Act, 2025, data for reserve money and money supply pertain to 15th and last day of the month, effective December 15, 2025.
Source: RBI.

Chart IV.5: Bank Credit Growth Picked Up in September

(Y-o-y, per cent)



Notes: 1. The incremental credit-deposit ratio has been calculated on a (y-o-y) basis.
2. SCBs' data are inclusive of regional rural banks. Data include the impact of the merger of a non-bank with a bank.
3. With the change in the definition of fortnight vide the Banking Laws (Amendment) Act, 2025, data for SCBs pertain to 15th and last day of the month, effective December 15, 2025.
Source: Fortnightly Section 42 Returns, RBI.

The total flow of financial resources to the commercial sector increased in the first half of 2026-27 (up to September 30), mainly driven by a pick-up in non-food bank credit and a rise in FDI[61] (Table IV.2a). The growth in total outstanding credit to the commercial sector (as on September 30) was considerably higher than the previous year (Table IV.2b).

Table IV.2a: Flow of Financial Resources to Commercial Sector Increased

(₹ lakh crore)

Source	April-March		Up to September 30	
	2024-25	2025-26	2025-26	2026-27 P
A. Non-Food Bank Credit	**18.08**	**29.19**	**8.47**	**16.07**
B. Non-Bank Sources (B1+B2)	**18.15**	**18.06**	**7.79**	**9.22**
B1. Domestic Sources	14.91	12.84	5.41	5.31
B2. Foreign Sources	3.25	5.22	2.38	3.90
C. Total Flow of Resources (A+B)	**36.23**	**47.25**	**16.26**	**25.29**

P: Provisional.
Notes: 1. Figures in the columns might not add up to the total due to rounding off of numbers.
2. For detailed notes and data, please refer to Current Statistics Table No: 18(a).
Sources: RBI; SEBI (Securities and Exchange Board of India); AIFIs (All India Financial Institutions); and RBI staff calculations.

[61] FDI to India is on a net basis (*i.e.*, gross inflows adjusted for repatriation/ disinvestment).

Table IV.2b: Higher Outstanding Credit to Commercial Sector

(₹ lakh crore; Figures in parentheses are y-o-y percentage changes)

Source	At End-March		As on September 30	
	2025	2026	2025	2026 P
A. Non-Food Bank Credit	**183.72 (10.9)**	**212.91 (15.9)**	**192.19 (11.2)**	**228.98 (19.1)**
B. Non-Bank Sources (B1+B2)	**88.86 (14.6)**	**101.77 (14.5)**	**93.99 (16.1)**	**106.77 (13.6)**
B1. Domestic Sources	66.37 (17.3)	75.29 (13.4)	70.47 (19.0)	78.79 (11.8)
B2. Foreign Sources	22.49 (7.2)	26.48 (17.7)	23.52 (8.5)	27.98 (19.0)
C. Total Credit (A+B)	**272.58 (12.1)**	**314.68 (15.4)**	**286.17 (12.8)**	**335.75 (17.3)**

P: Provisional.
Notes: 1. Figures in the columns might not add up to the total due to rounding off of numbers.
2. Data on non-bank sources excludes issuances of equities and hybrid instruments under domestic sources and foreign direct investment in equities under foreign sources.
3. Flows based on outstanding data may not tally with the flows provided in Table IV.2a due to:
(a) Conversion of some Housing Finance Companies into Non-Banking Financial Companies; and
(b) Valuation effect in case of foreign sources.
4. For detailed notes and data, please refer to Current Statistics Table No: 18(b).
Sources: RBI; SEBI; AIFIs; and RBI staff calculations.

Bank credit growth remained elevated in general across major sectors.[62] Industrial credit growth eased marginally due to slower lending to large industries, while MSMEs sustained high credit growth. Credit growth to the services sector remained buoyant, driven by non-banking financial companies (NBFCs), trade and commercial real estate. Personal loans also strengthened, supported by steady growth in vehicle loans segment, despite a marginal dip in housing loans (Chart IV.6).

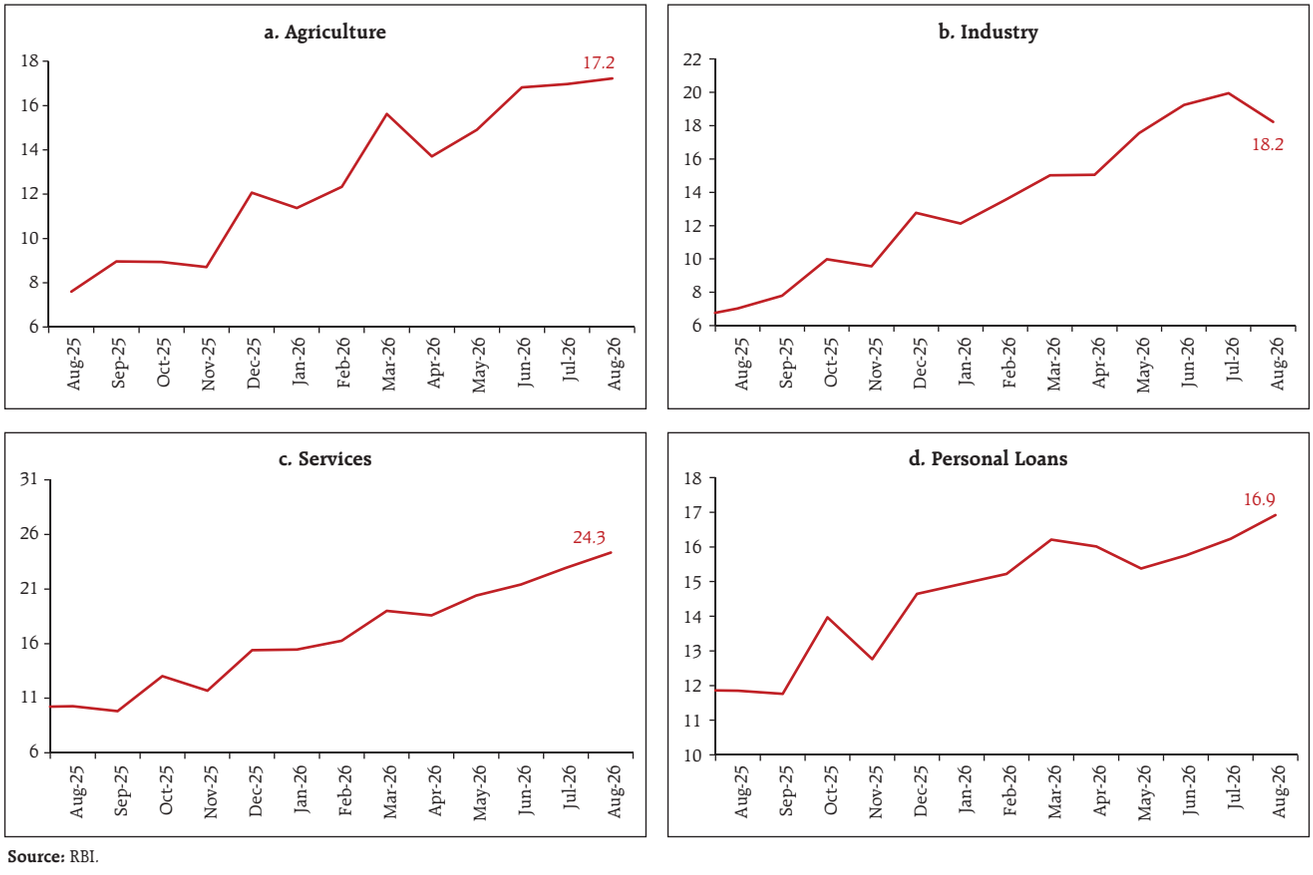
NBFCs' high credit growth sustained in August 2026[63], largely driven by retail loans and industrial credit. Retail loans were supported by loans against gold jewellery, housing[64] and vehicle loans. Industrial credit was propelled by the infrastructure segment. Credit to the services sector strengthened with robust lending to the trade and transport operators' segments, even though commercial real estate registered a decline. Agricultural credit continued to grow in double digits (Chart IV.7).

Deposit and Lending Rates

The weighted average domestic term deposit rates (WADTDRs) and weighted average lending rates

Chart IV.6: Sectoral Deployment of Bank Credit

(Y-o-y, per cent)



Source: RBI.

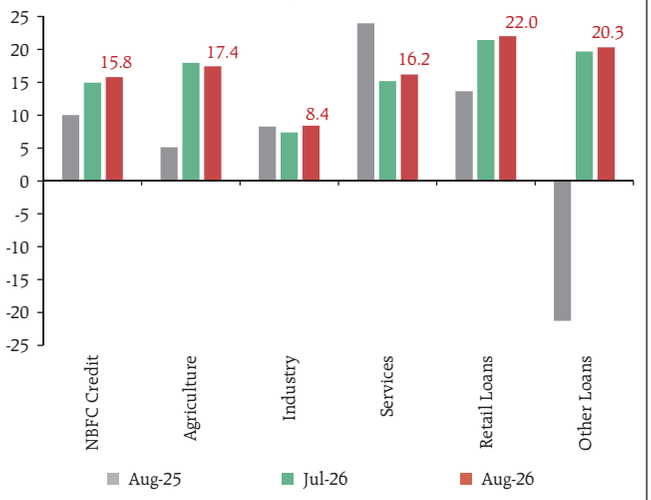
[62] Provisional data on sectoral deployment of bank credit is based on sector-wise and industry-wise bank credit (SIBC) return, which covers 41 select banks accounting for about 95 per cent of total non-food credit extended by all SCBs.

[63] Provisional data as reported on the last day of the month. Sectoral credit data of NBFCs are based on a sample of (i) NBFCs in Upper and Middle Layers and (ii) Housing Finance Companies (HFCs), accounting for about 87 per cent of total credit with respect to data published in the Report on Trend and Progress of Banking in India 2024-25.

[64] Housing loans data also include housing loans from HFCs.

Chart IV.7: Sectoral Deployment of NBFC Credit

(Y-o-y, per cent)



Note: Other loans include credit from NBFCs other than these four sectors and non-housing loans from HFCs.
Source: RBI and National Housing Bank.

(WALRs) of scheduled commercial banks moderated in response to the cumulative 125 basis points (bps) reduction (February 2025 to August 2026) in the policy repo rate (Table IV.3). The transmission to WADTDR on fresh term deposits strengthened in August, supported by softening of the bulk deposit rates. The loan composition effect in terms of change in relative weights in the credit portfolio somewhat dampened the overall transmission to WALR on fresh rupee loans.

The policy transmission to lending and fresh deposit rates was stronger in private banks than in public sector banks during February 2025–August 2026. Over the recent months (July–August 2026), private banks recorded relatively the largest reduction in fresh WADTDR, while their WALR on fresh rupee loans hardened (Chart IV.8). Although transmission to lending rates was broad-based across sectors over the easing cycle, WALR on fresh rupee loans hardened in most sectors during July-August 2026 (Chart IV.9).

Equity Markets

Indian equity markets remained mostly bearish in September and October (till 19th) amidst rising risk-off sentiment with escalating geopolitical tensions, elevated crude oil prices and tightening financial conditions. Bearish foreign institutional investor (FII) sentiment weighed on foreign equity inflows, although domestic institutional investors

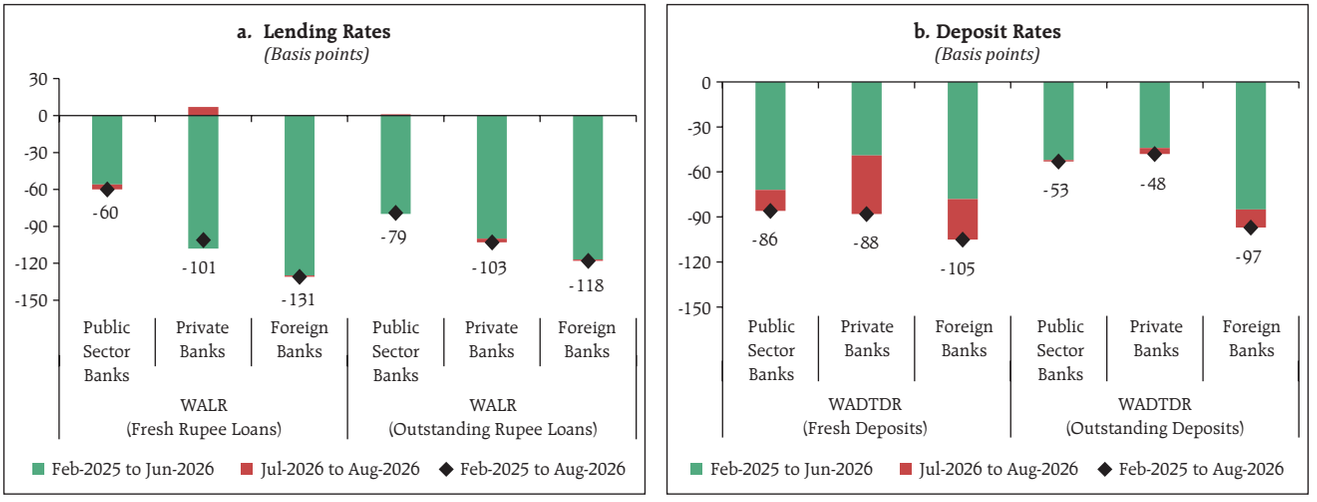
Table IV.3: Transmission to Banks' Deposit and Lending Rates

(Basis points)

Period	Repo Rate	Term Deposit Rates		Lending Rates				
		WADTDR-Fresh Deposits	WADTDR-Outstanding Deposits	EBLR	1-Year MCLR (Median)	WALR - Fresh Rupee Loans		WALR-Outstanding Rupee Loans
						Overall	Interest Rate Effect#	
(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)
Tightening Cycle May 2022 to Jan 2025	250	259	206	250	175	182	191	115
Easing Cycle Feb 2025 to Aug 2026	-125	-95	-53	-125	-30	-72	-76	-91
Memo								
Jun-2026	0	15	1	0	-15	2	6	-1
Jul-2026	0	-10	0	0	10	-1	4	1
Aug-2026	0	-18	-2	0	10	9	-1	-1

#: Calculated at January 2025 weights.
WALR: Weighted average lending rate; WADTDR: Weighted average domestic term deposit rate.
MCLR: Marginal cost of funds-based lending rate; EBLR: External benchmark-based lending rate.
Note: Data on EBLR pertain to 32 domestic banks.
Source: RBI.

Chart IV.8: Transmission across Bank Groups (February 2025 – August 2026)



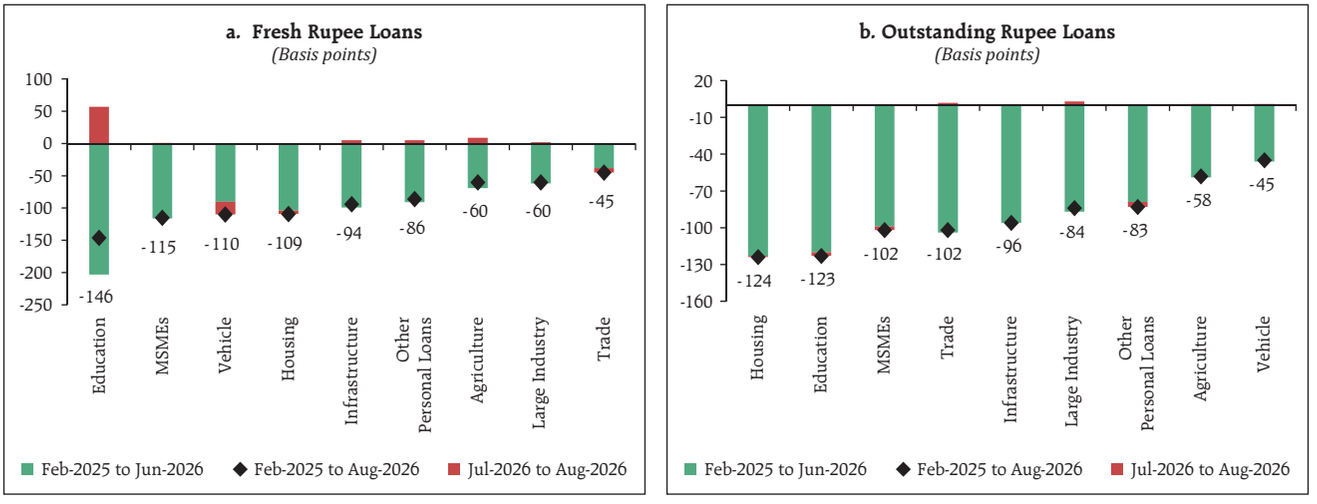
Note: Transmission during February 2025 to August 2026 is calculated by subtracting the weighted average lending and deposit rates of January 2025 from those of August 2026. The same methodology of computation is followed for the other periods mentioned here.
Source: RBI.

(DIIs) extended support and remained net buyers (Chart IV.10).

External Sources of Finance

FDI flows continued to remain robust in August 2026, supported by strong gross inflows and moderation in outward FDI (Chart IV.11a).[65] Communication, miscellaneous services and manufacturing received more than two-thirds of the FDI inflows. The US, Singapore and Mauritius were the major source countries, accounting for

Chart IV.9: Transmission across Select Sectors (February 2025 – August 2026)

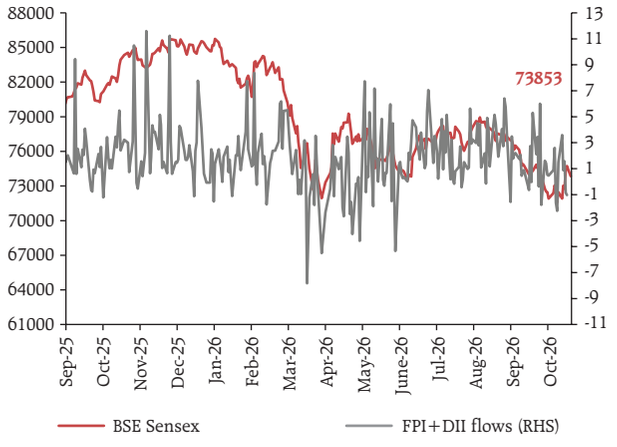


Note: Transmission during February 2025 to August 2026 is calculated by subtracting the weighted average lending rates of January 2025 from those of August 2026. The same methodology of computation is followed for the other periods mentioned here.
Source: RBI.

[65] Net FDI stood at US$ 3.3 billion in August 2026, reflecting robust gross inflows of US$ 11.1 billion. During April-August 2026, net FDI stood at US$ 13.8 billion as compared to US$ 9.6 billion last year.

Chart IV.10: Domestic Equity Markets remained Bearish in September and October

(Index, left scale; ₹ thousand crore, right scale)



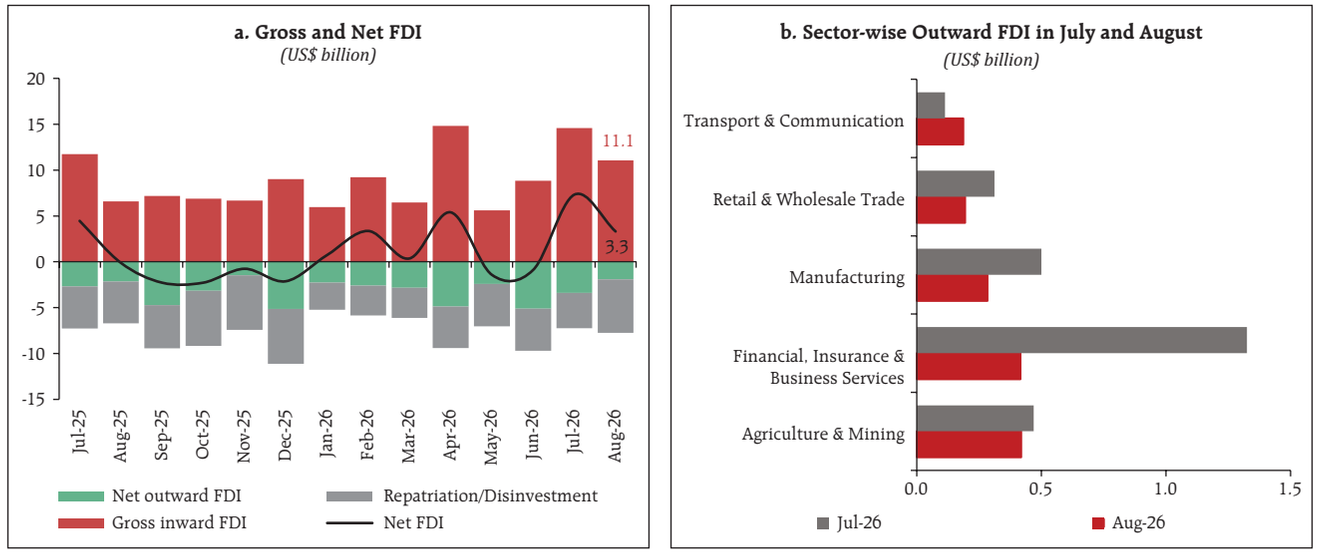
Note: Data is up to October 19, 2026.
DII: Domestic Institutional Investors. FPI: Foreign Portfolio Investors.
Source: Bloomberg.

about 72 per cent of FDI inflows. Outward FDI flows moderated in August with more than half being directed towards Singapore, the Netherlands, and the USA. The major sectors of outward FDI were agriculture & mining, financial, insurance & business services, and manufacturing – together accounting for more than two-thirds of the outward flows (Chart IV.11b).

FPI flows to India, and other emerging market portfolio flows, have seen a net sold position since September, driven by the re-escalation of tensions in West Asia, elevated crude oil prices and rising global bond yields (Chart IV.12).[66]

Net inflows under non-resident deposits surged in August 2026,[67] mainly supported by an increase in FCNR(B) deposits on account of special USD-INR forex swap facility of the RBI.[68] Consequently, the share of FCNR(B) deposits in total outstanding non-resident deposits rose sharply at end-August 2026 (Chart IV.13).

Chart IV.11: FDI Flows Sustained in August



Source: RBI.

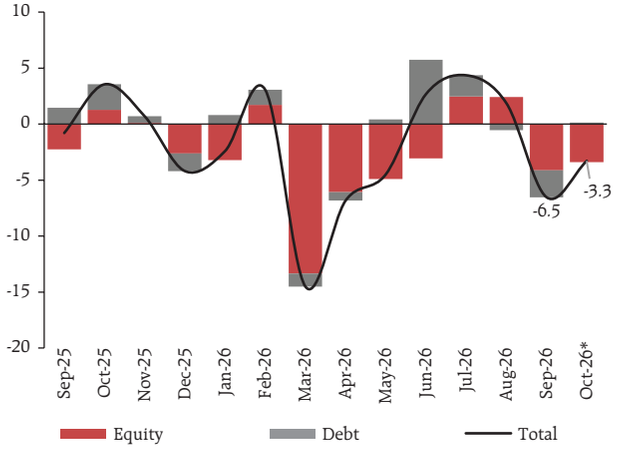
[66] During 2026-27 so far (up to October 16), FPI registered net outflows to the tune of US$ 12.2 billion, driven by withdrawals from the equity segment.

[67] During August 2026, net inflows under non-resident deposits rose to US$ 85.7 billion from US$ 1.0 billion a year ago due to net inflows of US$ 86.4 billion in Foreign Currency Non-Resident (Bank) Deposits (FCNR(B)).

[68] Following the introduction of a special USD-INR Forex Swap facility covering FCNR(B) deposits, ECBs and Overseas Foreign Currency Borrowings (OFCBs) by the Reserve Bank on June 08, 2026, a total of US$ 133 billion was mobilised through FCNR(B) deposits during June 8-August 31, 2026. During June 8-September 18, 2026, OFCBs and ECBs recorded inflows of US$ 5.3 billion each. The scheme was open till August 31, 2026, for FCNR(B) deposits, and remains open up to December 31, 2026, for OFCBs and ECBs.

Chart IV.12: FPI Inflows Turned Negative Since September

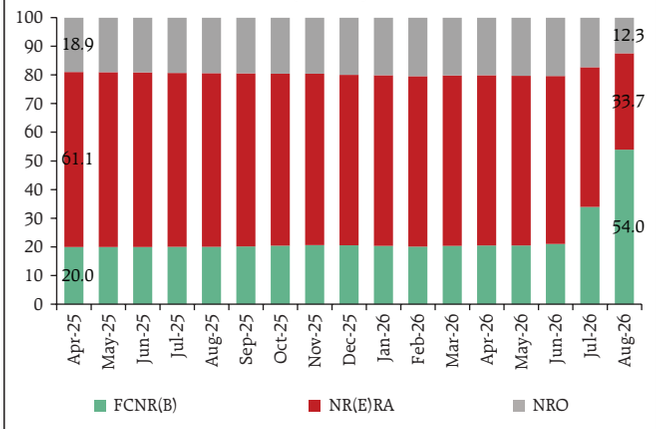
(US$ billion)



Notes: 1. Debt includes investments under the hybrid instruments.
2. *: Data up to October 16.
Source: National Securities Depository Limited (NSDL).

Chart IV.13: Share of FCNR(B) Deposits in Outstanding Non-Resident Deposits Surged in July and August

(Per cent)



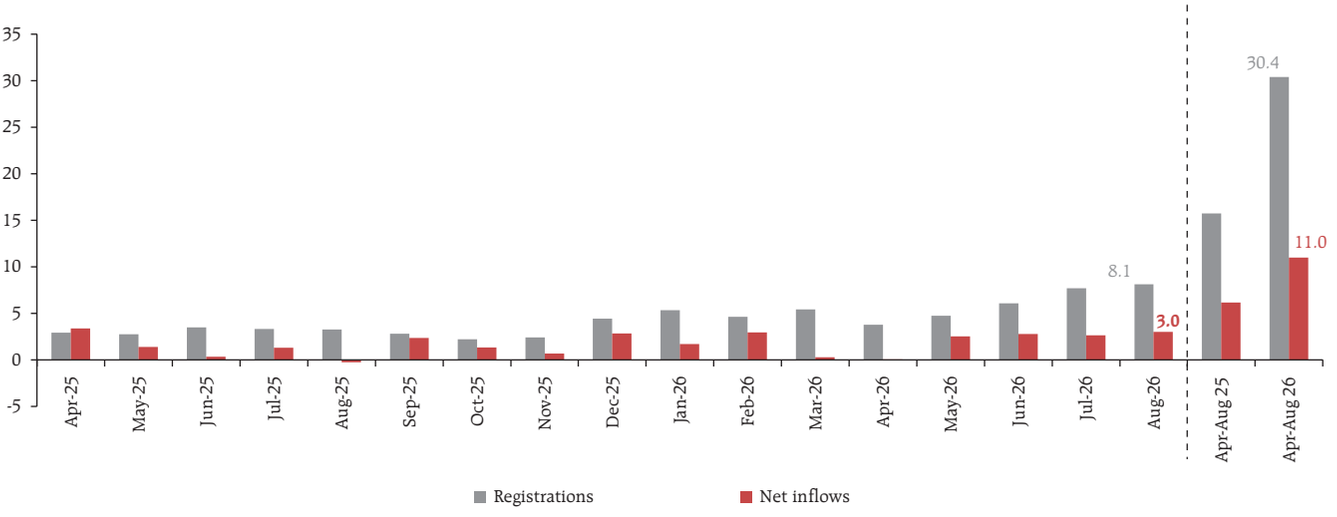
Note: NR(E) RA – Non-Resident (External) Rupee deposits; NRO - Non-Resident Ordinary deposits; FCNR(B) - Foreign Currency Non-Resident (Bank) Deposits.
Source: RBI.

Offshore fundraising through ECBs strengthened during April-August 2026, with both registrations and net inflows rising over the year.[69] In August, net ECB inflows increased to US$ 3.0 billion from a net outflow of US$ 0.3 billion a year ago (Chart IV.14).[70] Around 33.6 per cent of the ECBs registered were mobilised for capital expenditure.

India's current account deficit narrowed to $5.2 billion in August 2026 from US$6.1 billion in August 2025 due to lower merchandise trade deficit and

Chart IV.14: External Commercial Borrowings - Registrations and Flows

(US$ billion)



Note: Net inflows represent gross disbursements adjusted for principal repayments. The inflows are inclusive of inter-corporate borrowings.
Source: Form ECB, RBI.

[69] During April-August 2026, total ECB registrations increased to US$ 30.4 billion from US$ 15.7 billion in the corresponding period of last year, while net inflows increased to US$ 11.0 billion from US$ 6.2 billion during this period.

[70] ECB inflows in August registered a sequential increase of 14 per cent over July 2026.

higher surplus in services trade and net transfers. Strong capital inflows supported by FCNR(B) deposits helped the overall balance of payments record a surplus of US$ 45.4 billion in August.

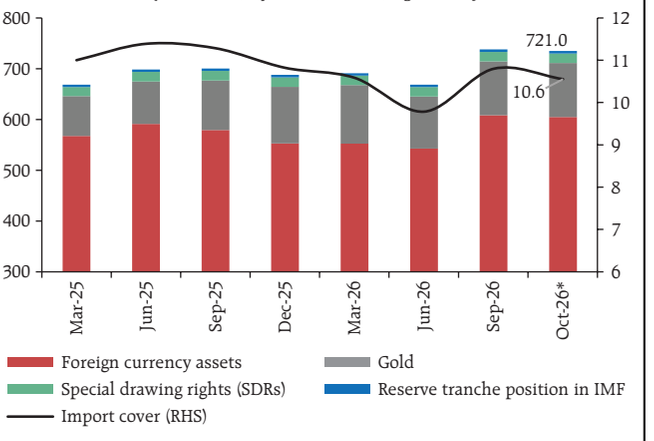
India's foreign exchange reserves remain comfortable, providing a cover for 10.6 months of goods imports (as on October 16) and 92.7 per cent of the external debt outstanding as at end-June 2026 (Chart IV.15).[71]

India's key external sector vulnerability indicators, *viz.*, external debt-to-GDP ratio, net international investment position (NIIP) to GDP ratio, debt service ratio and short-term debt (residual maturity) to reserves remained contained at end-June 2026 (Chart IV.16). India's external debt rose by 4.2 per cent *(y-o-y)* to US$ 778.2 billion at end-June 2026.

As on end-June 2026, net claims of non-residents on India increased by US$ 16.5 billion during Q1:2026-27 to US$ 220.3 billion, reflecting a rise in external liabilities and decline in external assets. Consequently, the ratio of India's external assets to external liabilities moderated to 84.6 per cent from 85.7 per cent in the previous quarter. The share of debt liabilities in total external liabilities continued its gradual upward trend since end-March

Chart IV.15: India's Foreign Exchange Reserves Remain Adequate

(US$ billion, left scale; months, right scale)

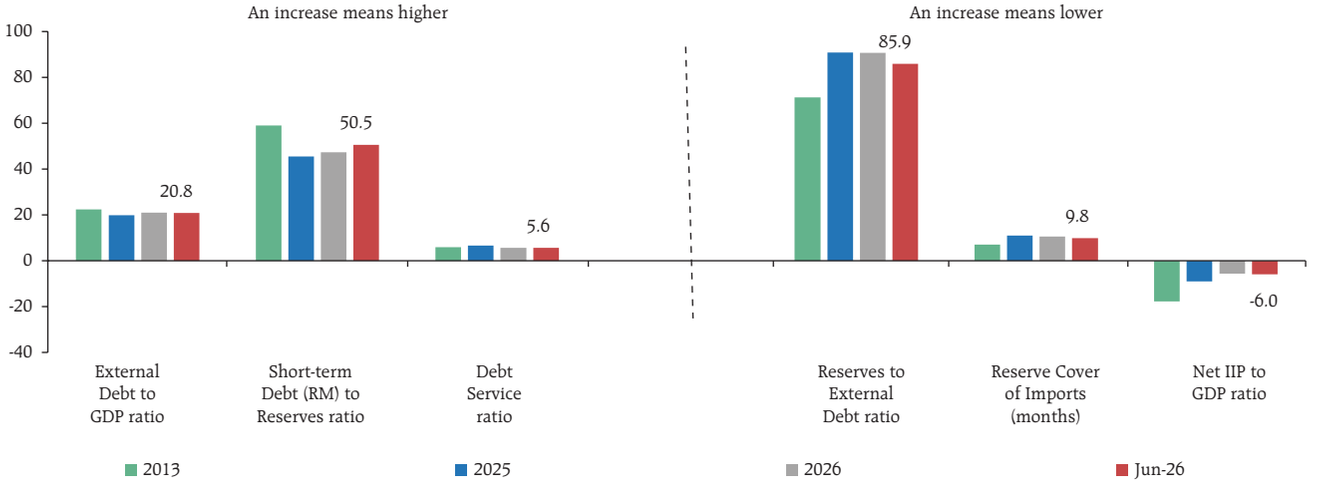


Notes: 1. As on October 16, 2026.
2. The import cover data is based on annualised merchandise imports as per the balance of payments statistics.

Source: RBI.

Chart IV.16: India's External Vulnerability Indicators Remain Contained

(Per cent)

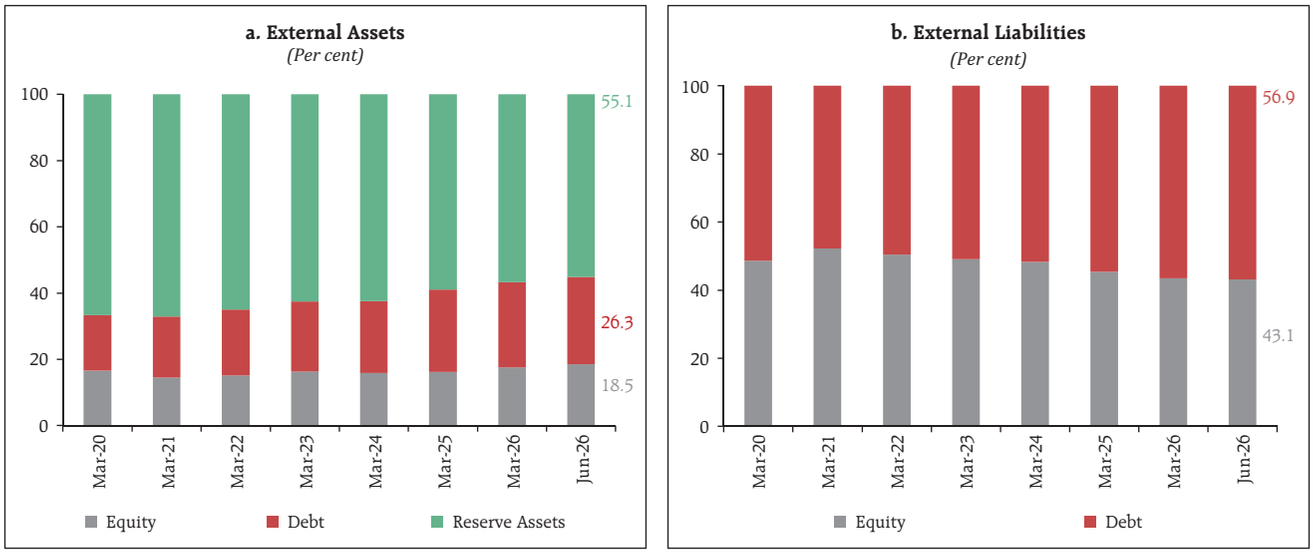


Note: 1. Data for 2013, 2025, and 2026 are as of end-March.
2. RM: Residual Maturity.

Source: RBI.

[71] As on October 16, 2026, the import cover for goods and services was 8.4 months.

Chart IV.17: Composition of India's International Investment Position



Source: RBI.

2022 and stood at 56.9 per cent as on end-June 2026 (Chart IV.17).

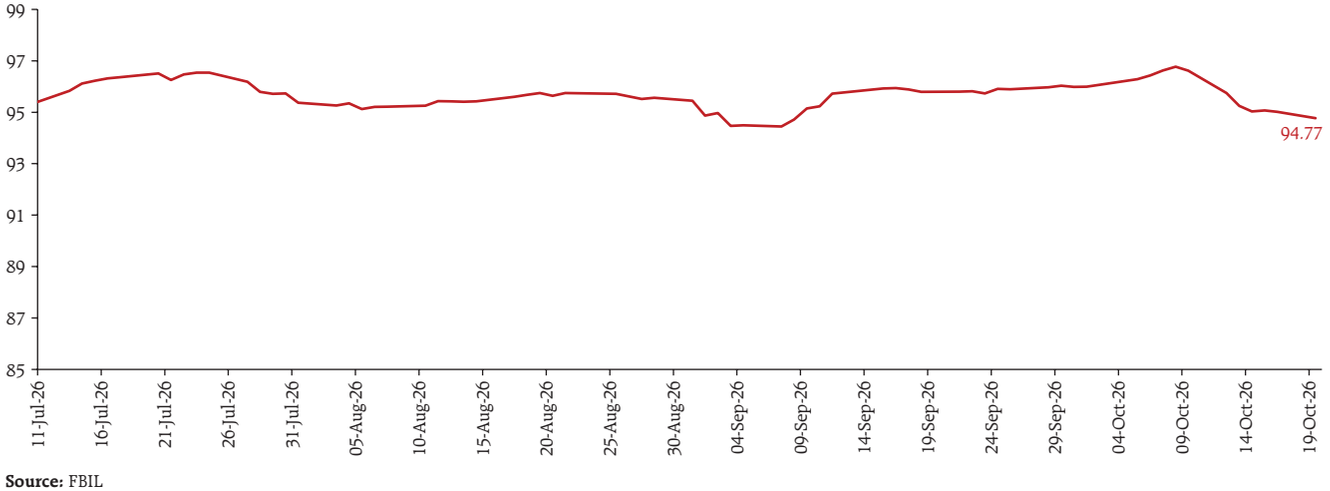
Foreign Exchange Market

The Indian rupee (INR) exhibited a depreciating bias since late-September owing to a stronger US dollar and surging crude oil prices. INR appreciated subsequently in mid-October supported by the Reserve Bank's measures[72] to curb speculative dollar demand and softer US dollar (Chart IV.18).

In real effective terms, the INR appreciated in September driven by higher domestic inflation *vis-à-vis* major trading partners and appreciation of INR in nominal effective terms (Chart IV.19).

Chart IV.18: Exchange Rate

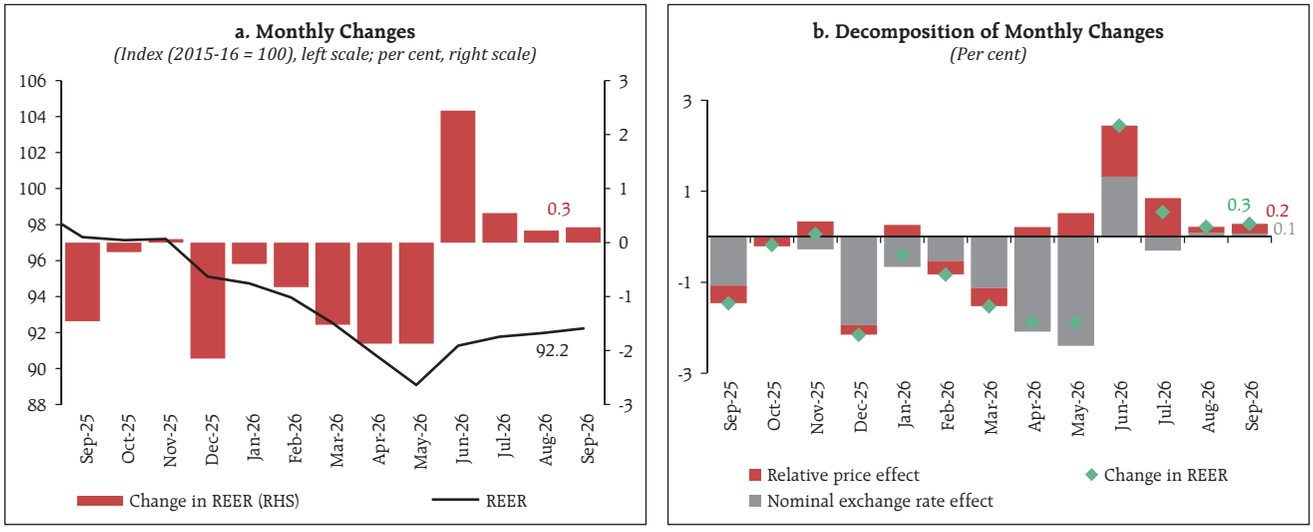
(₹ per US$)



Source: FBIL

[72] Key regulatory measures announced on October 10, 2026 include, inter alia, the introduction of foreign exchange risk reserve, reduction in the threshold for undertaking foreign exchange derivative transactions without establishing underlying exposure. In addition, a special window for public sector oil marketing companies to meet dollar requirements has been announced.

Chart IV.19: 40-Currency Real Effective Exchange Rate Appreciated in September



Note: Positive change indicates an appreciation of nominal and real exchange rate and negative change indicates a depreciation.
Source: RBI.

V. Conclusion

Global economy is currently passing through a rough phase with multiple shocks. Although IMF has revised upwards the global economic outlook for 2026 and 2027, the prospect remains clouded by significant downside risks. Rising inflationary pressures induced by West Asia crisis and recurrent trade tensions, alongside multi-decade-high sovereign bond yields, elevated public debt, and broader fiscal sustainability concerns are looming large. Some silver linings are evident in the form of positive technology shocks and related dividends from AI. Navigating this environment, the Indian economy has been anchored by solid macroeconomic fundamentals and policy interventions to cushion downside risks. Despite being a net energy importer, GDP growth has been supported by sustained domestic demand and services. Headline CPI inflation edged up over the months and showed signs of greater generalisation across commodities calling for a commensurate change in the monetary policy stance. The external headwinds are also being dealt with a slew of regulatory measures by the Reserve Bank to curb speculative activity in foreign exchange market. Strong inflows under FCNR(B) swap window augmented reserves. FDI, ECB and remittance flows strengthened in August. With strong exports growth, the trade deficit narrowed in September.